

# International Bank for Reconstruction and Development



## Management's Discussion & Analysis and Condensed Quarterly Financial Statements March 31, 2025 (Unaudited)



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## Section I: Executive Summary

This Management's Discussion and Analysis (MD&A) reflects the results of the International Bank for Reconstruction and Development's (IBRD's) financial performance for the nine months ended March 31, 2025 (FY25 YTD). This document should be read in conjunction with IBRD's Financial Statements and MD&A for the fiscal year ended June 30, 2024 (FY24). IBRD undertakes no obligation to update any forward-looking statements. Certain reclassifications of prior years' information have been made to conform with the current year's presentation.

**Table 1: Selected Financial Data**

*In millions of U.S. dollars, except ratios which are in percentages*

|                                                 | As of and for the nine months<br>ended March 31, |            | As of and for the<br>fiscal year ended<br>June 30, |
|-------------------------------------------------|--------------------------------------------------|------------|----------------------------------------------------|
|                                                 | 2025                                             | 2024       | 2024                                               |
| <b>Lending Highlights (Section III)</b>         |                                                  |            |                                                    |
| <b>Loans and Guarantees</b>                     |                                                  |            |                                                    |
| Net commitments <sup>a</sup>                    | \$ 27,723                                        | \$ 24,767  | \$ 37,568                                          |
| Gross disbursements                             | 22,102                                           | 25,952     | 33,450                                             |
| Net disbursements                               | 11,907                                           | 16,364     | 20,115                                             |
| <b>Income Statement (Section III)</b>           |                                                  |            |                                                    |
| Board of Governors-approved and other transfers | \$ (815)                                         | \$ (371)   | \$ (371)                                           |
| Net income                                      | 1,236                                            | 1,185      | 2,142                                              |
| <b>Balance Sheet (Section III)</b>              |                                                  |            |                                                    |
| Total assets                                    | \$ 390,145                                       | \$ 347,185 | \$ 356,612                                         |
| Net investment portfolio <sup>b</sup>           | 102,653                                          | 75,809     | 82,680                                             |
| Net loans outstanding                           | 272,532                                          | 257,051    | 260,236                                            |
| Borrowing portfolio <sup>c</sup>                | 316,385                                          | 277,817    | 287,117                                            |
| Total equity                                    | 66,519                                           | 62,342     | 63,484                                             |
| <b>Non-GAAP Measures</b>                        |                                                  |            |                                                    |
| Allocable Income (Section III)                  | \$ 1,790                                         | \$ 1,415   | \$ 1,849                                           |
| Usable Equity (Section IV)                      | 55,595                                           | 53,653     | 54,655                                             |
| Equity-to-Loans Ratio (Section IV)              | 21.3 %                                           | 21.4 %     | 21.5 %                                             |

*a. Commitments that have been approved by the Executive Directors (referred to as "the Board" in this document) and are net of full terminations and cancellations relating to commitments approved in the same fiscal year.*

*b. For the composition of the net investment portfolio, see Notes to the Condensed Quarterly Financial Statements, Note C - Investments - Table C3.*

*c. Includes associated derivatives.*

IBRD's mission is to end extreme poverty and boost shared prosperity on a livable planet by providing countries with loans, guarantees, advisory services, analytical support and other products.

IBRD and its affiliated institutions seek to help countries in reducing poverty and inequality, and achieve improvements in economic growth, job creation, governance, human capital, infrastructure, and debt transparency, among others. To meet its development goals, the World Bank Group (WBG<sup>1</sup>) supports client countries' efforts to implement programs to improve growth and development outcomes with a vision to create a world free of poverty on a livable planet. Further, new and ongoing factors continue to influence the global outlook, including: global market uncertainties, migration surges, youth unemployment, energy access, climate adaptation and mitigation, and growing fragility. IBRD continues to work with partners at global and country levels and its borrowing countries to maximize impact for development by efficiently channeling resources into projects that create jobs, drive growth, reduce poverty, and improve living standards. To further support these efforts, the Board and Management have been reforming the WBG to better address the scale of development needs. This process includes initiatives to increase impact, expand financing capacity, support projects that address global challenges with cross border externalities, and modernize the approach to delivery.

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<sup>1</sup> The other WBG institutions are the International Development Association (IDA), the International Finance Corporation (IFC), the Multilateral Investment Guarantee Agency (MIGA), and the International Centre for Settlement of Investment Disputes (ICSID). The World Bank consists of IBRD and IDA.

## Summary Financial Results

### Net Income

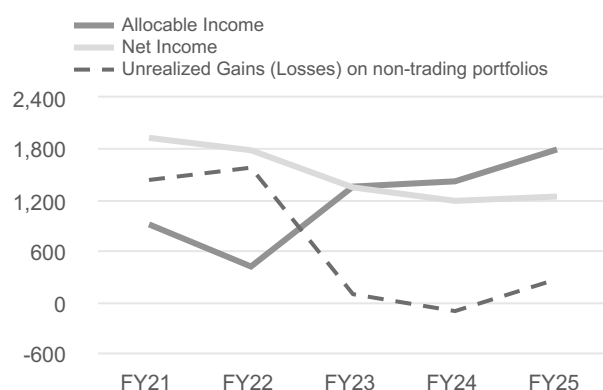
IBRD's net income was \$1,236 million for the first nine months of FY25, compared with net income of \$1,185 million during the same period in FY24. The \$51 million increase was primarily due to unrealized mark-to-market gains on IBRD's non-trading portfolios in FY25 YTD, as compared to unrealized mark-to-market losses in FY24 YTD, and an increase in net revenue on interest earning assets. These were partially offset by higher Board of Governors-approved transfers of \$444 million. The \$815 million of Board of Governors-approved transfers were expensed as grants upon approval by the Board of Governors in FY25 YTD, and were funded from IBRD's prior years' allocable income.

### Allocable Income

Allocable income is the measure IBRD uses for making net income allocation decisions. Given IBRD's intention to maintain its non-trading portfolio positions to maturity, unrealized mark-to-market gains and losses for these portfolios are not included in IBRD's allocable income. In addition, Board of Governors-approved and other transfers are also excluded from IBRD's allocable income since these amounts relate to allocations out of prior year allocable income, surplus, or restricted retained earnings.

During FY25 YTD, allocable income was \$1,790 million, an increase of \$375 million from the same period in FY24. The increase was primarily due to the increase in net revenue on interest earning assets in FY25 YTD, compared to FY24 YTD (Section III and Section IV).

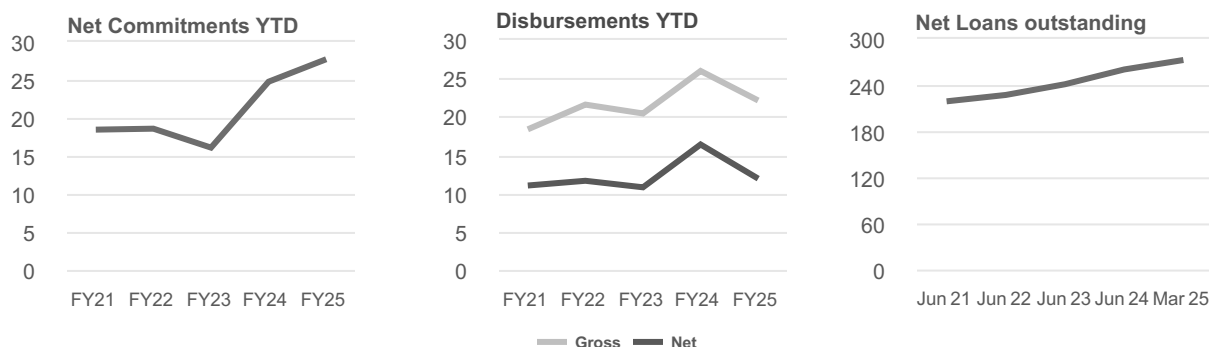
*In millions of U.S. dollars - YTD*



### Lending Operations

IBRD's lending operations during the first nine months of FY25 provided \$27.7 billion of net commitments, \$22.1 billion of gross loan disbursements (Table 4), and \$11.9 billion of net loan disbursements. Net loans outstanding were \$272.5 billion as of March 31, 2025.

*In billions of U.S. dollars*



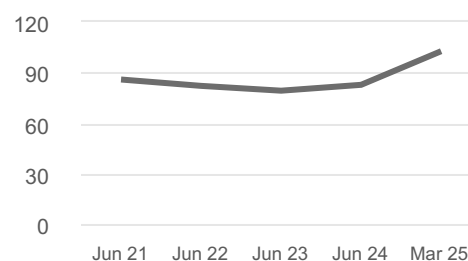
Net commitments were higher by \$3.0 billion compared with the same period in FY24 (Table 5). The regions with the largest share of commitments in the first nine months of FY25 were Europe and Central Asia with 32%, and Latin America and the Caribbean with 31%.

## Net Investment Portfolio

IBRD's net investment portfolio increased by \$20.0 billion, from \$82.7 billion as of June 30, 2024 to \$102.7 billion as of March 31, 2025. The increase was primarily due to net new debt issuances that were higher than net loan disbursements during the period, and is consistent with the higher target liquidity level in FY25, compared to FY24. As of March 31, 2025, 73% of the investments are rated AA or above (77% as of June 30, 2024) (Table 12), reflecting IBRD's objective of principal protection and its preference for high-quality investments.

*In billions of U.S. dollars*

### Net Investment Portfolio



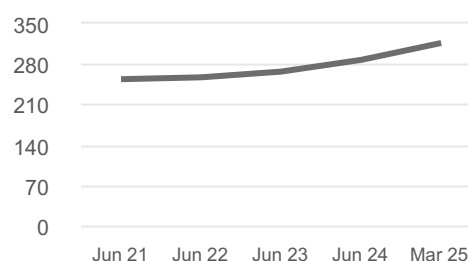
## Borrowing Portfolio

Borrowings reported at fair value: As of March 31, 2025, the borrowings reported at fair value and the related derivatives were \$315.9 billion, \$28.8 billion higher than June 30, 2024. The increase was mainly due to net new debt issuances that financed the growing development and lending operations, and satisfied liquidity requirements.

Borrowings reported at amortized cost: As of March 31, 2025, the borrowings reported at amortized cost were \$476 million, all related to IBRD's first issuances of hybrid capital (Section III and Section IV).

*In billions of U.S. dollars*

### Borrowing Portfolio



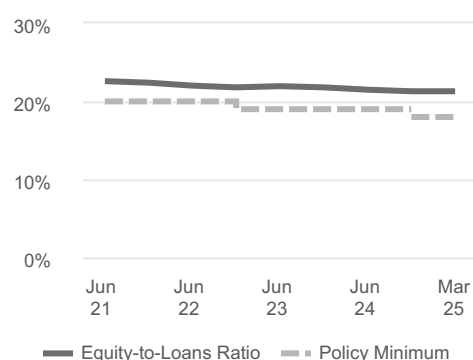
## Equity-to-Loans Ratio

The Equity-to-Loans ratio decreased from 21.5% as of June 30, 2024 to 21.3% as of March 31, 2025, primarily due to the increase in loan exposures outpacing the increase in usable equity (Section IV), and remained above the policy minimum of 18%. In line with IBRD's currency management approach, exchange rate movements during the period did not have an impact on IBRD's Equity-to-Loans ratio.

During the first nine months of FY25, IBRD received \$334 million of paid-in capital subscribed under the 2018 General and Selective Capital Increases (GCI and SCI), bringing the cumulative amounts received to \$6.3 billion, representing 84% of the total amount available for subscription. The subscription period for the GCI and SCI ends on October 1, 2025.

*Ratio in percentages*

### Equity-to-Loans Ratio



## Section II: Overview

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IBRD, an international organization owned by its 189 member countries, is one of the five institutions of the WBG. Each institution is legally and financially independent, with separate assets and liabilities. IBRD is not liable for the obligations of the other institutions.

IBRD is a Multilateral Development Bank (MDB) that combines knowledge services and financing with a global reach. IBRD's value is derived from its ability to help eligible borrowing members address their development challenges and meet their rising demand for innovative products. IBRD provides loans, guarantees, and other financial products for development-focused projects and programs primarily to middle-income and creditworthy lower-income countries to support sustainable development. By operating across a full range of country clients, IBRD maintains a depth of development knowledge, uses its convening power to promote development, and coordinates responses to regional and global challenges.

Member countries use IBRD's technical advice and analysis and convening power to develop or implement better policies, programs, and reforms that help sustain development over the long term. The products delivered range from development data, to reports on key social economic and social issues at the local, country, regional and global levels. The products also include knowledge-sharing workshops focused on local issues, flagship events and fora to address the most pressing global development challenges.

### Financial Business Model

IBRD's objective is not to maximize profits, but to earn adequate income to ensure that it has the long-term financial capacity necessary to support its development activities. IBRD seeks to generate sufficient revenue to finance its operations as well as to be able to grow reserves to strengthen its financial position. It also seeks to provide support to IDA and trust funds through income transfers for other developmental purposes.

IBRD's financial strength rests on the support it receives from its shareholders, and on its array of financial policies and practices. Shareholder support for IBRD is reflected in the capital backing it continues to receive from its members and in the record of its borrowing member countries in meeting their debt service obligations to IBRD. Sound financial and risk management policies and practices have enabled IBRD to maintain adequate capital, diversify its funding sources, hold a portfolio of liquid investments to meet its financial commitments, and limit its risks, including credit and market risks.

IBRD offers its borrowers, in middle income and creditworthy low-income countries, long-term loans with maturities up to 35 years. For some projects, the maximum loan maturity can be extended to up to 50 years. Borrowers may customize their repayment terms to meet their debt management or project needs in multiple currencies. Borrowers have generally preferred loans denominated in U.S. dollars and euros. IBRD also supports its borrowers by providing access to risk management products such as derivative instruments, including currency and interest rate swaps and interest rate caps and collars.

To meet its development goals, IBRD intermediates funds for lending mainly from the international capital markets. IBRD's loans are largely financed from borrowings raised in the capital markets and through its equity. IBRD is rated triple-A by the major rating agencies and its bonds are viewed as high-quality securities by investors. IBRD's funding strategy is aimed at achieving the best long-term value on a sustainable basis for its borrowing members. This strategy has enabled IBRD to borrow at favorable market terms and pass the savings on to its borrowing members. IBRD's annual funding volumes vary from year to year, and funds raised are used to finance development projects and programs in member countries. Funds not deployed for lending are maintained in IBRD's investment portfolio to supply liquidity for its operations.

IBRD uses derivatives to manage its exposure to various market risks from the above activities. These are used to align the interest and currency composition of its assets (loan and investment portfolios) with that of its liabilities (borrowing portfolio), and to stabilize earnings on the portion of the loan portfolio funded by equity. See Section IV: Risk Management for additional details on how IBRD uses derivatives.



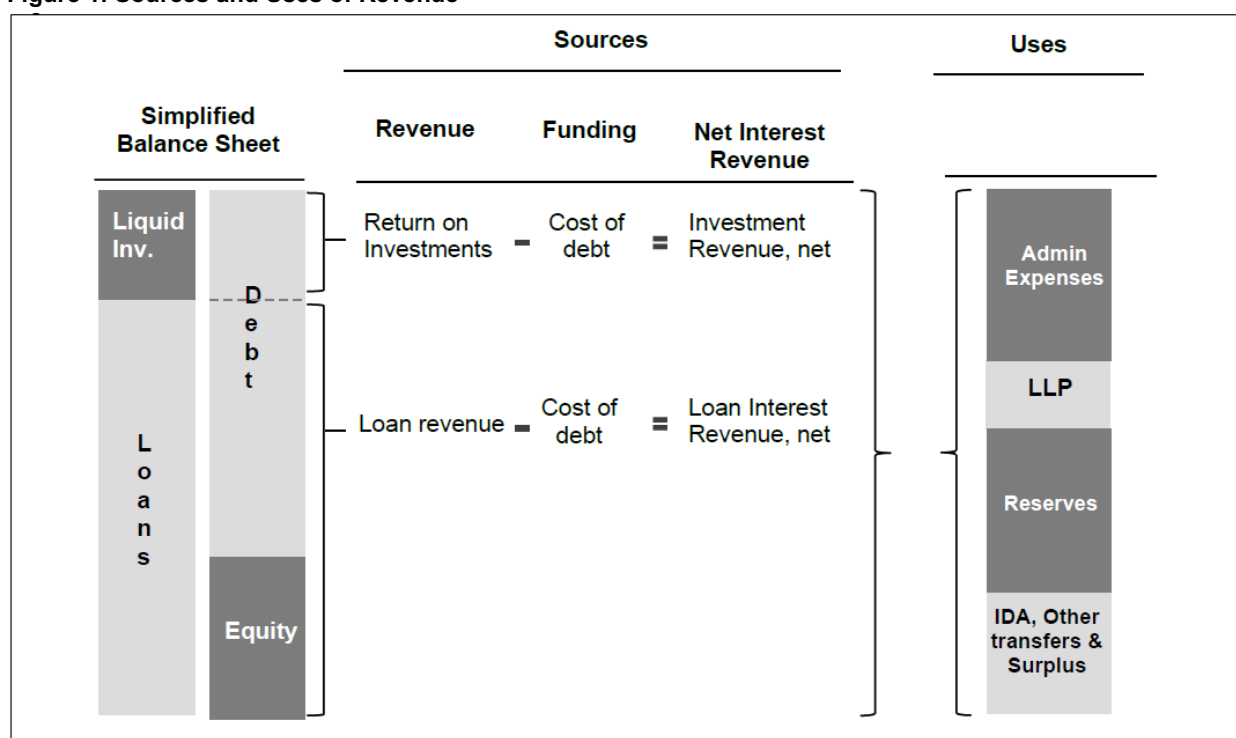
Management believes that these risk management strategies, taken together, effectively manage market risk in IBRD's operations from an economic perspective. However, these strategies entail the use of derivatives, which introduces volatility in net income through unrealized mark-to-market gains and losses (particularly given the long-term nature of some of IBRD's assets and liabilities). Accordingly, Management makes decisions on income allocation without reference to unrealized mark-to-market gains and losses on risk management instruments in the non-trading portfolios – see Basis of Reporting – Allocable Income.

## Financial Performance

IBRD's primary sources of revenue are from loans and investments, both net of funding costs (Figure 1). This revenue is used for administrative expenses, provision for losses on loans and other exposures<sup>2</sup> (LLP), as well as transfers to Reserves, Surplus, and for other development purposes, including transfers to IDA.

In addition, other development activities generate non-interest revenue that is classified as Revenue from externally funded activities. These external funds include trust fund fees, reimbursable funds, and revenues from fee-based services to member countries. Non-interest revenue from externally funded activities provides additional capacity to support the development needs of client countries.

**Figure 1: Sources and Uses of Revenue**



## Basis of Reporting

IBRD's financial statements conform with accounting principles generally accepted in the United States of America (U.S. GAAP). Generally, all financial instruments in the investment and borrowing portfolios and all derivatives are reported at fair value, with changes in fair value reported in the Statements of Income, except for changes in IBRD's own credit, which are reflected in Other Comprehensive Income. IBRD's loans are reported at amortized cost. Management uses net income as the basis for deriving allocable income, as discussed below.

<sup>2</sup> Other exposures include deferred drawdown options (DDO), irrevocable commitments, exposures to member countries' derivatives and guarantees.

## Allocable Income

IBRD's Articles of Agreement (the Articles) require that the Governors determine the allocation of income at the end of every fiscal year. Allocable income, which is a non-GAAP financial measure, is an internal management measure that reflects income available for allocation. IBRD defines allocable income as net income after certain adjustments, that are approved by the Board at the end of every fiscal year. These adjustments primarily relate to unrealized mark-to-market gains and losses associated with the non-trading portfolios, as well as Board of Governors-approved and other transfers, which primarily relate to the allocation of the prior year's net income.

See Section III: Financial Results Section and Table 2, for details of the adjustments to reported net income to calculate allocable income.

The variability in IBRD's net income is often driven by the unrealized mark-to-market gains and losses on the financial instruments in IBRD's non-trading portfolios. IBRD's risk management strategy entails the use of derivatives to manage market risk. These derivatives are primarily used to align the interest rate and currency bases of IBRD's assets and liabilities. IBRD has elected not to designate any hedging relationships for accounting purposes. Rather, all derivative instruments are reported at fair value on the Balance Sheets, with changes in fair values reflected in the Statements of Income.

In line with its financial risk management policies, for the non-trading portfolios, unrealized mark-to-market gains and losses from instruments reported at fair value (borrowing portfolio, and derivatives in the loans and other Asset/Liability Management (ALM) portfolios) are excluded from allocable income.

For the trading portfolio (investment portfolio), allocable income includes both realized and unrealized mark-to-market gains and losses. In some cases, the unrealized mark-to-market gains and losses on certain trades are excluded from allocable income when the underlying item is an asset held at amortized cost.

## Section III: Financial Results

### Financial Results and Portfolio Performance

The following is a discussion of the key drivers of IBRD's financial performance, including a reconciliation between IBRD's net income and allocable income.

**Table 2: Condensed Statements of Income**

*In millions of U.S. dollars*

| <i>For the nine months ended March 31,</i>                                           | <i>2025</i>     | <i>2024</i>     | <i>Impact on income</i> |                 |
|--------------------------------------------------------------------------------------|-----------------|-----------------|-------------------------|-----------------|
|                                                                                      |                 |                 | <i>Decrease</i>         | <i>Increase</i> |
| Revenue on interest earning assets                                                   |                 |                 |                         |                 |
| Loan interest revenue, net of funding costs <sup>a</sup>                             | \$ 3,635        | \$ 3,599        |                         | 36              |
| Other ALM derivatives, net                                                           | (1,031)         | (1,303)         |                         | 272             |
| Investment revenue, net of funding costs <sup>a,b</sup>                              | 44              | 66              | (22)                    |                 |
| Total revenue on interest earning assets, net                                        | \$ 2,648        | \$ 2,362        |                         | 286             |
| Provision for losses on loans and other exposures                                    | (12)            | (53)            |                         | 41              |
| Net non-interest expenses (Table 7)                                                  | (1,118)         | (1,018)         | (100)                   |                 |
| Net pension cost, other than service cost (Table 7)                                  | 129             | 142             | (13)                    |                 |
| Net other revenue (Table 6)                                                          | 201             | 220             | (19)                    |                 |
| Board of Governors-approved and other transfers                                      | (815)           | (371)           | (444)                   |                 |
| Non-functional currency translation adjustment (losses) gains, net                   | (60)            | 16              | (76)                    |                 |
| Unrealized mark-to-market gains (losses) on non-trading portfolios, net <sup>c</sup> | 263             | (113)           |                         | 376             |
| <b>Net income</b>                                                                    | <b>\$ 1,236</b> | <b>\$ 1,185</b> |                         | 51              |
| Adjustments to reconcile net income to allocable income:                             |                 |                 |                         |                 |
| Pension <sup>d</sup> and other adjustments                                           | (58)            | (238)           |                         | 180             |
| Board of Governors-approved and other transfers                                      | 815             | 371             |                         | 444             |
| Non-functional currency translation adjustment losses (gains), net                   | 60              | (16)            |                         | 76              |
| Unrealized mark-to-market (gains) losses on non-trading portfolios, net <sup>c</sup> | (263)           | 113             | (376)                   |                 |
| <b>Allocable income</b>                                                              | <b>\$ 1,790</b> | <b>\$ 1,415</b> |                         | 375             |

a. Includes related derivatives.

b. Includes unrealized mark-to-market gains (losses) on the Investments-trading portfolio, except forward contracts related to assets held at amortized cost, and Post Employment Benefit Plan (PEBP) and Post-Retirement Contribution Reserve Fund.

c. Adjusted to exclude amounts reclassified to realized gains (losses).

d. Adjustment to pension accounting expense to arrive at pension plan contributions. Pension plan and PCRf contributions were \$207 million in FY25 YTD and \$206 million in FY24 YTD.

**Table 3: Condensed Balance Sheets**

*In millions of U.S. dollars*

| <i>As of</i>                        | <i>March 31, 2025</i> | <i>June 30, 2024</i> | <i>Decrease</i> | <i>Increase</i> |
|-------------------------------------|-----------------------|----------------------|-----------------|-----------------|
| Investments and due from banks      | \$ 100,946            | \$ 83,297            |                 | 17,649          |
| Net loans outstanding <sup>a</sup>  | 272,532               | 260,236              |                 | 12,296          |
| Derivative assets, net              | 455                   | 456                  | (1)             |                 |
| Other assets                        | 16,212                | 12,623               |                 | 3,589           |
| <b>Total Assets</b>                 | <b>\$ 390,145</b>     | <b>\$ 356,612</b>    |                 | 33,533          |
| Borrowings                          | 296,327               | 261,790              |                 | 34,537          |
| Derivative liabilities, net         | 17,173                | 22,728               | (5,555)         |                 |
| Other liabilities                   | 10,126                | 8,610                |                 | 1,516           |
| Equity                              | 66,519                | 63,484               |                 | 3,035           |
| <b>Total Liabilities and Equity</b> | <b>\$ 390,145</b>     | <b>\$ 356,612</b>    |                 | 33,533          |

a. The fair value of IBRD's loans was \$269,084 million as of March 31, 2025 (\$257,415 million – June 30, 2024).

The main drivers of the change in the Balance Sheet are below:

- Increase in investments and due from banks primarily due to net cash inflows from new debt issuances exceeding net loan disbursements during FY25 YTD;
- Increase in net loans outstanding primarily from net loan disbursements during FY25 YTD;
- Increase in other assets mainly due to the purchase of assets at amortized cost associated with forward contracts;
- Increase in borrowings primarily due to net new issuances;
- Decrease in derivative liabilities, net due to the gains on borrowing-related derivatives as a result of the decrease in relevant interest rates; and
- Increase in equity, primarily due to the increase in accumulated other comprehensive income (AOCI), driven by the higher Debit Valuation Adjustment (DVA) on Fair Value Option elected liabilities due to changes in IBRD's own credit, and the net income during FY25 YTD.

## Net Income

IBRD's net income was \$1,236 million for the first nine months of FY25, compared with net income of \$1,185 million during the same period in FY24. The \$51 million increase was primarily due to unrealized mark-to-market gains on IBRD's non-trading portfolios in FY25 YTD, as compared to unrealized mark-to-market losses in FY24 YTD, and an increase in net revenue on interest earning assets. These were offset by higher Board of Governors-approved transfers of \$444 million (Table 2). The \$815 million of Board of Governors-approved transfers were expensed as grants upon approval by the Board of Governors in FY25 YTD, and were funded from IBRD's prior years' allocable income.

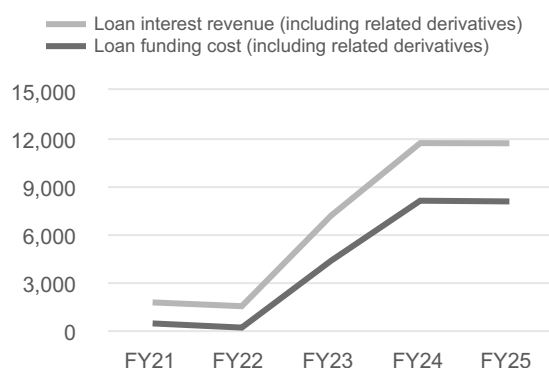
## Results from Lending activities

### Loan Interest Revenue

Under IBRD's pricing policy, the lending rates for loans are based on the underlying cost of the borrowings funding these loans. After the effect of related derivatives, the loan and borrowing portfolios are based on variable interest rates (Figure 2). The portion of the loan portfolio funded by equity is sensitive to changes in short-term interest rates.

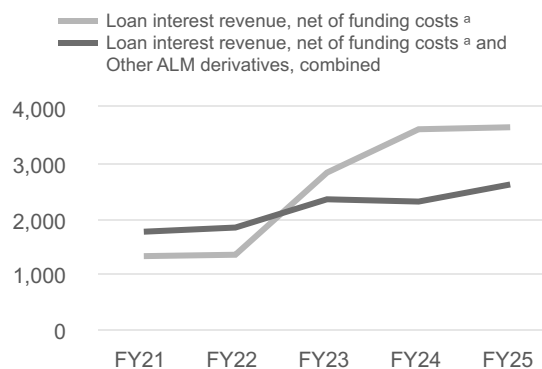
**Figure 2: Loans interest revenue and funding cost (including related derivatives)**

*In millions of U.S. dollars, YTD*



**Figure 3: Loan interest revenue, net of funding costs <sup>a</sup>**

*In millions of U.S. dollars, YTD*



*a. Includes related derivatives.*

For the first nine months of FY25, IBRD's loan interest revenue, net of funding costs was \$3,635 million, an increase of \$36 million, compared with the same period in FY24 (Figure 3), consistent with the increase in the average loan balance during the period. Other ALM derivatives moderate the impact of interest rate changes on the portion of the loan portfolio that is sensitive to interest rate movements, thereby partially stabilizing the net interest revenue earned from these loans (as illustrated in Figure 3). Other ALM derivatives comprise interest rate swaps, which are used to convert the variable rate cash flows from these loans to fixed rate cash flows.

In October 2024, as a part of the package of measures to deliver on WBG's new vision and mission, the Board approved adjustments to IBRD's loan pricing, which include: 1) establishing a grace period, during which no

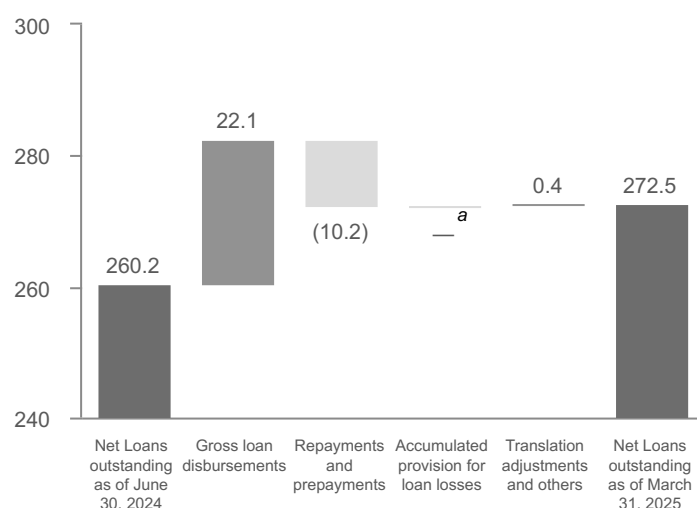
commitment fees are charged for the first four years for Investment Project Financing (IPFs) and Program-for-Results Financing (PforRs); 2) removal of the prepayment premium; 3) introduction of a 7 year Short Maturity Loan (SML) with a maturity discount applied to the contractual spread; and 4) expansion of the lowest pricing group to include all CRDC-eligible IBRD borrowers under current eligibility requirements. See below section for additional details on CRDC.

### Provision for losses on loans and other exposures

IBRD recorded a provision expense for losses on loans and other exposures of \$12 million in FY25 YTD, compared to \$53 million in FY24 YTD. As the majority of IBRD's loans carry variable interest rates, changes in forward interest rates impact the expected losses that are recorded through the provision for losses on loans and other exposures in the statements of income. Accordingly, the change was primarily driven by the lower loss given default (severity) compared to FY24 YTD, due to the decrease in relevant implied forward interest rates in FY25 YTD compared to an increase in FY24 YTD. The severity reflects the expected losses from delays in receiving interest payments since IBRD does not charge interest on overdue interest.

**Figure 4: Change in Net Loans Outstanding**

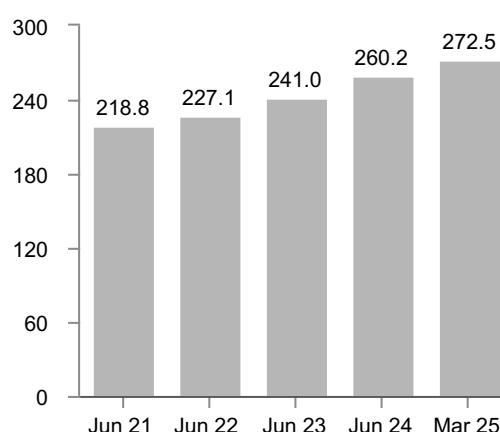
*In billions of U.S. dollars*



a. Amount less than \$0.1 billion.

**Figure 5: Net Loans Outstanding**

*In billions of U.S. dollars*



As of March 31, 2025, 80% of IBRD's total loans outstanding after derivatives, were denominated in U.S. dollars, and 19% were denominated in euro. For the regional presentation of loans outstanding, see Notes to Condensed Quarterly Financial Statements, Note D - Loans and other exposures, Table D6.

Gross disbursements were \$22.1 billion in FY25 YTD, a \$3.9 billion decrease compared with the same period in FY24 (Table 4).

**Table 4: Gross Disbursements by Region**

*In millions of U.S. dollars*

*For the nine months ended March 31,*

|                                 | 2025             | % of total   | 2024             | % of total   | Variance          |
|---------------------------------|------------------|--------------|------------------|--------------|-------------------|
| Eastern and Southern Africa     | \$ 772           | 4            | \$ 1,851         | 7 %          | \$ (1,079)        |
| Western and Central Africa      | 845              | 4            | 188              | 1            | 657               |
| East Asia and Pacific           | 2,870            | 13           | 5,021            | 19           | (2,151)           |
| Europe and Central Asia         | 6,927            | 31           | 9,429            | 36           | (2,502)           |
| Latin America and the Caribbean | 5,480            | 25           | 4,313            | 17           | 1,167             |
| Middle East and North Africa    | 2,048            | 9            | 1,869            | 7            | 179               |
| South Asia                      | 3,160            | 14           | 3,281            | 13           | (121)             |
| <b>Total</b>                    | <b>\$ 22,102</b> | <b>100 %</b> | <b>\$ 25,952</b> | <b>100 %</b> | <b>\$ (3,850)</b> |

Net commitments were \$27.7 billion in FY25 YTD, a \$3.0 billion increase compared with the same period in FY24 (Table 5).

**Table 5: Net Commitments by Region**

*In millions of U.S. dollars*

*For the nine months ended March 31,*

|                                 | 2025             | % of total   | 2024             | % of total   | Variance        |
|---------------------------------|------------------|--------------|------------------|--------------|-----------------|
| Eastern and Southern Africa     | \$ 1,304         | 5 %          | \$ 1,359         | 5 %          | \$ (55)         |
| Western and Central Africa      | 744              | 3            | 125              | 1            | 619             |
| East Asia and Pacific           | 3,580            | 13           | 4,789            | 19           | (1,209)         |
| Europe and Central Asia         | 8,897            | 32           | 7,903            | 32           | 994             |
| Latin America and the Caribbean | 8,556            | 31           | 7,453            | 30           | 1,103           |
| Middle East and North Africa    | 2,628            | 9            | 2,240            | 9            | 388             |
| South Asia                      | 2,014            | 7            | 898              | 4            | 1,116           |
| <b>Total</b>                    | <b>\$ 27,723</b> | <b>100 %</b> | <b>\$ 24,767</b> | <b>100 %</b> | <b>\$ 2,956</b> |

### Climate Resilient Debt Clause (CRDC)

IBRD offers CRDCs for eligible new and existing loans (with minimum remaining maturity of five years), for certain borrowers<sup>3</sup>. CRDCs allow eligible borrowing countries to defer payments of principal and/or interest (and other loan charges) for up to two years after an eligible event. After the deferral period, the borrower will restart payments of the deferred amounts according to a modified amortization schedule that maintains the original weighted average maturity of the loan and does not extend the final maturity date. The eligible events when the clause was first offered were tropical cyclones and earthquakes. In October 2024, the Board approved an extension of the covered events to include all natural catastrophes, including droughts, floods, and public health emergencies caused by a biological event. Total loans outstanding as of March 31, 2025 for the 24 countries (including Blend countries) that are eligible for CRDCs was \$5.5 billion.

### Results from Investing Activities

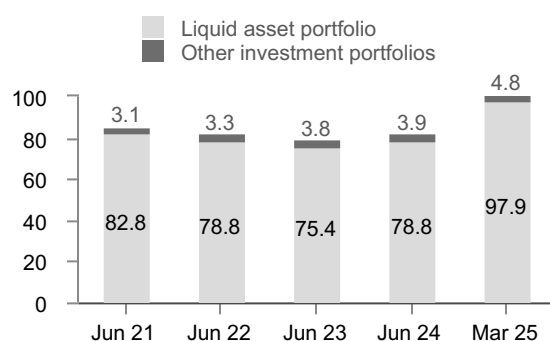
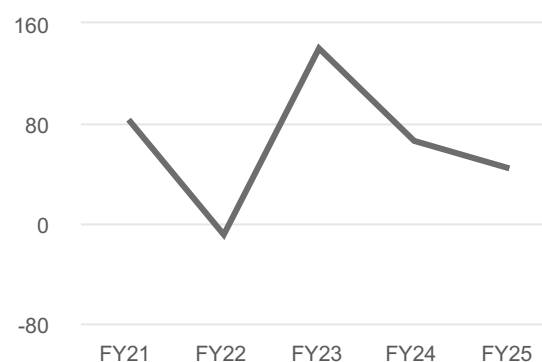
#### Net Investment Portfolio

IBRD's net investment portfolio was \$102.7 billion as of March 31, 2025 (\$82.7 billion as of June 30, 2024). Of this amount, \$97.9 billion related to the liquid asset portfolio (\$78.8 billion as of June 30, 2024). See Notes to Condensed Quarterly Financial Statements, Note C - Investments. The increase in the liquid asset portfolio is primarily due to the net new debt issuances that were higher than net loan disbursements during the period, and consistent with the higher target liquidity level in FY25 (Table 14).

#### Net Investment Revenue

IBRD's net investment revenue was \$44 million as of March 31, 2025, \$22 million lower in FY25 YTD compared to FY24 YTD. The decrease was primarily driven by the increase in borrowing expenses outpacing the increase in investment interest income.

<sup>3</sup> Eligible borrowers are IBRD Small State Economies, members of the Small States Forum, and Small Island Developing States as defined by the United Nations.

**Figure 6: Net Investment Portfolio***In billions of U.S. dollars***Figure 7: Investment Revenue, net***In millions of U.S. dollars, YTD*

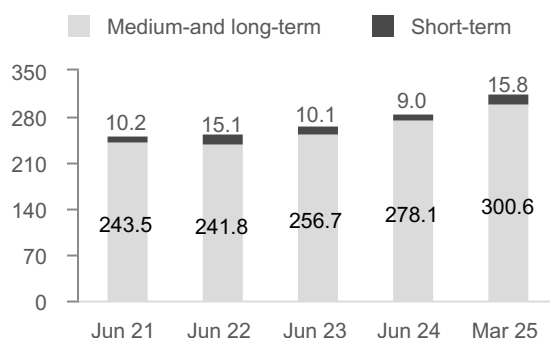
## Results from Borrowing Activities

Borrowings reported at Fair Value:

As of March 31, 2025, the borrowings reported at fair value and the related derivatives were \$315.9 billion, a \$28.8 billion increase compared with June 30, 2024 (Notes to Condensed Quarterly Financial Statements, Note E - Borrowings). The increase was primarily due to net new debt issuances of \$31.0 billion during the period. New issuances of medium-and long-term debt of \$51.4 billion during the first nine months of FY25 were highly diversified by investor profile and location, with an average maturity of 5.7 years. The funds raised financed development lending operations and satisfied liquidity requirements.

Borrowings reported at Amortized Cost:

As of March 31, 2025, borrowings reported at amortized cost were \$476 million, and related to IBRD's first issuances of hybrid capital in FY25 YTD. Hybrid capital is issued in the legal form of debt and has characteristics of both debt and equity. See Notes to Condensed Quarterly Financial Statements, Note A - Summary of Significant Accounting and Related Policies.

**Figure 8: Borrowing Portfolio (original maturities)***In billions of U.S. dollars*

## Net Other Revenue

Net other revenue was lower by \$19 million in FY25 YTD, compared with the same period in FY24. The decrease was mainly due to unrealized mark-to-market losses from forward contracts with a physical asset held at amortized cost as its underlying.

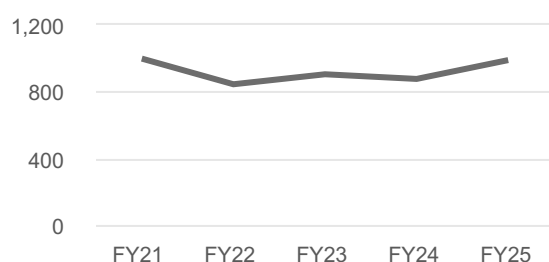
**Table 6: Net Other Revenue***In millions of U.S. dollars**For the nine months ended March 31,*

|                                    | 2025          | 2024          | Variance       |
|------------------------------------|---------------|---------------|----------------|
| Loan commitment fees               | \$ 116        | \$ 111        | \$ 5           |
| Guarantee fees                     | 13            | 11            | 2              |
| Others <sup>a</sup>                | 72            | 98            | (26)           |
| <b>Net other revenue (Table 2)</b> | <b>\$ 201</b> | <b>\$ 220</b> | <b>\$ (19)</b> |

a. Includes net earnings from the PEBP and PCRF, unrealized mark-to-market losses from forward contracts with a physical asset held at amortized cost as its underlying, and income from the recognition of recovery assets related to guarantees received under Portfolio Guarantee Platform (PGP).

## Net Non-Interest Expenses

As shown in Table 7, IBRD's net non-interest expenses are primarily comprised of administrative expenses, net of revenue from externally funded activities, and include costs related to Bank-executed activities for trust funds and other externally funded activities. IBRD and IDA's administrative budget is a single resource envelope that funds the combined work programs of both entities. The allocation of net administrative expenses between IBRD and IDA is based on an agreed cost and revenue-sharing methodology, approved by their Boards, which is primarily driven by the relative level of lending, knowledge services, and other services between the two entities.

**Figure 9: Net Non-Interest Expenses (GAAP basis)***In millions of U.S. dollars, YTD*



The increase in net non-interest expenses from FY24 YTD to FY25 YTD, on both a GAAP and allocable income basis, was primarily driven by higher staff costs and higher consultant and contractual services (Table 7).

**Table 7: Net Non-Interest Expenses**

*In millions of U.S. dollars*

*For the nine months ended March 31,*

|                                                                                                                            | 2025            | 2024            | Variance      |
|----------------------------------------------------------------------------------------------------------------------------|-----------------|-----------------|---------------|
| Administrative expenses                                                                                                    |                 |                 |               |
| Staff costs                                                                                                                | \$ 901          | \$ 854          | \$ 47         |
| Travel                                                                                                                     | 107             | 102             | 5             |
| Consultant fees and contractual services                                                                                   | 323             | 300             | 23            |
| Pension service cost <sup>a</sup>                                                                                          | 213             | 207             | 6             |
| Communications and technology                                                                                              | 72              | 65              | 7             |
| Premises and equipment                                                                                                     | 89              | 86              | 3             |
| Other expenses                                                                                                             | 27              | 18              | 9             |
| <b>Total administrative expenses</b>                                                                                       | <b>\$ 1,732</b> | <b>\$ 1,632</b> | <b>\$ 100</b> |
| Contributions to special programs                                                                                          | 17              | 18              | (1)           |
| Revenue from externally funded activities:                                                                                 |                 |                 |               |
| Reimbursable revenue – Bank-executed activities for trust funds                                                            | (402)           | (391)           | (11)          |
| Other revenue                                                                                                              | (229)           | (241)           | 12            |
| <b>Total revenue from externally funded activities</b>                                                                     | <b>\$ (631)</b> | <b>\$ (632)</b> | <b>\$ 1</b>   |
| Net non-interest expenses (Table 2)                                                                                        | 1,118           | 1,018           | 100           |
| Net pension cost, other than service cost <sup>b</sup> (Table 2)                                                           | (129)           | (142)           | 13            |
| <b>Net non-interest expenses - GAAP basis</b>                                                                              | <b>\$ 989</b>   | <b>\$ 876</b>   | <b>\$ 113</b> |
| <b>Adjustments to arrive at net non-interest expenses - allocable income basis</b>                                         |                 |                 |               |
| Pension, Externally Financed Outputs (EFO) and Reserve Advisory and Management Partnership (RAMP) adjustments <sup>c</sup> | 122             | 143             | (21)          |
| <b>Net non-interest expenses - allocable income basis</b>                                                                  | <b>\$ 1,111</b> | <b>\$ 1,019</b> | <b>\$ 92</b>  |

a. The pension service cost represents the cost of benefits attributable to services performed by employees for the Bank during the period. See Notes to Condensed Quarterly Financial Statements, Note K - Pension and Other Post-Retirement Benefits.

b. Amount is included in Other Non-interest expenses in the Condensed Statements of Income (Table 2).

c. Adjustments are included in the Pension and other adjustments line in Table 2.

### Unrealized mark-to-market gains and losses on non-trading portfolios

Unrealized mark-to-market gains and losses associated with the non-trading portfolios are excluded from reported net income to arrive at allocable income. As a result, from a long-term financial sustainability perspective, income allocations are generally based on amounts that have been realized (except for the Investments-Trading portfolio, as previously discussed). For the first nine months of FY25, net unrealized mark-to-market gains were \$263 million (\$113 million net unrealized mark-to-market losses for same period in FY24) (Table 2).

**Table 8: Unrealized Mark-to-market Gains (Losses) on Non-trading Portfolios <sup>a</sup>**

*In millions of U.S. dollars*

*For the nine months ended March 31,*

|                                              | 2025          | 2024            | Variance      |
|----------------------------------------------|---------------|-----------------|---------------|
| Loan-related derivatives                     | \$ (929)      | \$ (715)        | \$ (214)      |
| Other ALM derivatives                        | 1,280         | 719             | 561           |
| Borrowings, including derivatives            | (119)         | (148)           | 29            |
| Client operations and other derivatives, net | 31            | 31              | —             |
| <b>Total</b>                                 | <b>\$ 263</b> | <b>\$ (113)</b> | <b>\$ 376</b> |

a. Adjusted to exclude amounts reclassified to realized mark-to-market gains (losses).

## Loan Portfolio

Loans are reported at amortized cost on the balance sheet and therefore the mark-to-market effect on loans is not reflected in reported net income. However, the derivatives used to convert loans from fixed-rate to variable-rate instruments, for asset/liability management purposes, are reported at fair value. From an economic perspective, IBRD's loans after the effect of derivatives carry variable interest rates and have a low sensitivity to the change in interest rates. The unrealized mark-to-market losses on loan related derivatives were \$214 million higher in the first nine months of FY25 compared to the same period in FY24, due to the more prominent decrease in relevant interest rates in FY25 YTD compared to FY24 YTD. See Section IV: Risk Management for additional details on how IBRD uses derivatives in the loan portfolio.

## Other ALM Portfolio

IBRD uses derivatives to stabilize its interest revenue from the portion of loans that is sensitive to changes in short-term interest rates. The Other ALM portfolio consists of derivatives which convert a portion of variable rate loan cash flows to fixed rate loan cash flows. In the first nine months of FY25, IBRD recorded unrealized mark-to-market gains of \$1,280 million on this portfolio due to the decrease in relevant interest rates for the nine months ended March 31, 2025. The duration of this portfolio was 4.5 years, within the Board established limit of 5 years.

## Borrowing Portfolio

IBRD's borrowings and the related derivatives are reported at fair value, except for hybrid capital which is reported at amortized cost on the balance sheet. IBRD recorded \$119 million of net unrealized mark-to-market losses on IBRD's borrowings at fair value and associated derivatives, due to the decrease in relevant interest rates as of March 31, 2025, compared to June 30, 2024. The unrealized mark-to-market losses on these borrowings at fair value were mainly driven by the decrease in relevant interest rates and exceeded the gains on the bond-related derivatives. The net unrealized mark-to-market losses on IBRD's bonds exclude changes in IBRD's own credit, referred to as the DVA on Fair Value Option elected liabilities, which is recorded in Accumulated Other Comprehensive Income (AOCI). For the first nine months of FY25, the DVA was \$1,294 million of unrealized mark-to-market gains, resulting mainly from the widening of IBRD's credit spreads relative to the applicable reference rate during the period, primarily driven by the widening of spreads across euro sovereign, supranational, and agency markets. As of March 31, 2025, IBRD's Condensed Balance Sheets included a cumulative DVA of \$1,967 million of mark-to-market gains reflected in AOCI (see Notes to the Condensed Quarterly Financial Statements, Note J - Fair Value Disclosures).

## Board of Governors-approved Transfers and Allocations

During the first nine months of FY25, the Board of Governors approved the following transfers and allocations as shown below:

| Date of approval                                                                                                    | Amount<br>(\$ in million) | Retained Earnings Source | Beneficiary                                                 |
|---------------------------------------------------------------------------------------------------------------------|---------------------------|--------------------------|-------------------------------------------------------------|
| <b>Board of Governors-approved and Other Transfers Reported in the Condensed Statements of Income <sup>a</sup>:</b> |                           |                          |                                                             |
| September 9, 2024                                                                                                   | \$ 100                    | Surplus                  | Trust Fund for Gaza and West Bank                           |
| September 18, 2024                                                                                                  | 200                       | Surplus                  | Trust Fund for Gaza and West Bank                           |
| September 18, 2024                                                                                                  | 515                       | FY24 allocable income    | IDA                                                         |
| Total                                                                                                               | \$ 815                    |                          |                                                             |
| <b>Board of Governors-approved Allocations Reported as Transfers Within Retained Earnings:</b>                      |                           |                          |                                                             |
| September 18, 2024                                                                                                  | \$ 200                    | Surplus                  | IBRD Surplus-Funded Livable Planet Fund (LPF1) <sup>b</sup> |
| January 17, 2025                                                                                                    | 100                       | Surplus                  | Grant Facility for Project Preparation (GFPP) <sup>c</sup>  |
| Total                                                                                                               | \$ 300                    |                          |                                                             |

a. These transfers are unconditional and expensed upon approval.

b. For the nine months ended March 31, 2025, no grants were expensed by the LPF1.

c. The Grant Facility for Project Preparation (GFPP) provides grants to support preparation of World Bank financed lending operations. The GFPP is currently financed by IBRD's surplus and is established for an initial period of 7 years. For the nine months ended March 31, 2025, no grants were expensed by the GFPP.

## Changes in Surplus

In millions of U.S. dollars

|                                                                            | Amount        |
|----------------------------------------------------------------------------|---------------|
| <b>Surplus as of June 30, 2024</b>                                         | <b>\$ 100</b> |
| Allocation from FY24 allocable income                                      | 500           |
| Board of Governors-approved transfers to Trust Fund for Gaza and West Bank | (300)         |
| Board of Governors-approved allocations to LPF1                            | (200)         |
| Board of Governors-approved allocations to GFPP                            | (100)         |
| <b>Surplus as of March 31, 2025</b>                                        | <b>\$ —</b>   |

## Section IV: Risk Management

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### Risk Governance

IBRD's risk management processes and practices evolve to reflect changes in activities in response to market, credit, product, operational, and other developments. The Board, particularly the Audit Committee, periodically reviews trends in IBRD's risk profiles and performance, and any major developments in risk management policies and controls. Management believes that effective risk management is critical for its overall operations. Accordingly, the risk management governance structure is designed to manage the principal risks IBRD assumes in its activities.

### Risk Oversight and Coverage

The Vice President and WBG Chief Risk Officer (CRO) oversees both financial and operational risks. These risks include (i) country credit risks in the core sovereign-lending business, (ii) market and counterparty risks, including liquidity and model risks, and (iii) operational risks relating to people, processes, and systems, or from external events.

The risk of IBRD's operations not meeting their development outcomes (development outcome risk) in IBRD's lending activities is monitored at the corporate level by Operations Policy and Country Services (OPCS). Where fraud and corruption risks may impact IBRD-financed projects, OPCS, the regions and practice groups, and the Integrity Vice Presidency jointly address such issues.

For a detailed discussion of the risk governance and risk oversight and coverage, see IBRD's MD&A for the fiscal year ended June 30, 2024, Section IX: Risk Management.

### Management of IBRD's Risks

IBRD assumes financial risks in order to achieve its development and strategic objectives. IBRD's financial risk management framework is designed to enable and support the institution in achieving its goals in a financially sustainable manner. IBRD manages credit, market, and operational risks in its financial activities, which include lending, borrowing and investing. The primary financial risk to IBRD is the country credit risk inherent in its loan portfolio. IBRD is also exposed to risks in its liquid asset and derivative portfolios, where the major risks are interest rate, exchange rate, commercial counterparty credit, and liquidity risks. IBRD's operational risk management framework is based on a structured and uniform approach to identify, assess and monitor key operational risks across business units.

In an effort to maximize IBRD's capacity to lend to member countries for development purposes, IBRD limits its exposure to market and counterparty credit risks. In addition, to ensure that the financial risks associated with its loans and other exposures do not exceed its risk-bearing capacity, IBRD uses a strategic capital adequacy framework as a key medium-term capital planning tool.

## Capital Adequacy

IBRD holds capital to cover the credit, market and operational risks inherent in its operating activities and financial assets. Country credit risk is the most substantive risk covered by IBRD's equity.

IBRD's capital adequacy is the degree to which its equity is sufficient to withstand unexpected shocks. IBRD's Board monitors IBRD's capital adequacy within a strategic capital adequacy framework and uses the Equity-to-Loans ratio as a key indicator of capital adequacy. The framework seeks to ensure that IBRD's equity is aligned with the financial risk associated with its loan portfolio and other exposures over a medium-term capital-planning horizon.

As shown in Table 9, IBRD's Equity-to-Loans ratio decreased from 21.5% as of June 30, 2024 to 21.3% as of March 31, 2025, primarily due to the increase in total loan exposure exceeding the increase in usable equity. In October 2024, as part of the WBG evolution process, the Board approved establishing the new Framework of Restoration Measures (FRM) for capital adequacy, which further strengthens the protection for IBRD's triple-A rating. The FRM includes a set of capital adequacy-related metrics, along with indicative thresholds, as well as restoration measures. Following the establishment of the FRM, the Board approved a reduction in the policy minimum Equity-to-Loans ratio from 19% to 18% based on a review of IBRD's capital adequacy framework, which became effective immediately after the Board approval. The minimum Equity-to-Loans ratio policy continues to support IBRD's triple-A rating and long-term financial sustainability.

In October 2024, the Board also approved the offer of Enhanced Callable Capital (ECC), another shareholder support instrument to expand IBRD's financing capacity. Shareholders can convert a portion of their existing callable capital to the enhanced terms so that it could be called earlier in the event that IBRD were to face an imminent threat of a rating downgrade, but had not yet reached a point where it was at risk of defaulting to its bondholders, which is when a call on the current form of callable capital will be made. The ECC conversion is on a voluntary basis and upon bilateral agreement between the shareholder and IBRD. There were no signed ECC agreements as of March 31, 2025.

In FY25 YTD, IBRD signed bilateral agreements for hybrid capital with 8 member countries for a total notional value of \$745 million, expected to be settled over the next 4 years. As of March 31, 2025, \$476 million has been settled and reported in the balance sheet. Hybrid capital is an instrument that has characteristics of both debt and equity, and while reported as Borrowings at amortized cost on the balance sheet under US GAAP, for capital adequacy purposes it is a component of usable equity in the equity-to-loans ratio (Table 9) in accordance with IBRD's financial policies.

In October 2024, IBRD signed portfolio guarantee agreements with total notional value of \$1.1 billion with 2 highly rated member countries under its new Portfolio Guarantee Platform (PGP). Portfolio guarantees are risk management instruments that support additional financing capacity for IBRD. The signed portfolio guarantees become effective upon fulfillment of certain effectiveness conditions stipulated in the signed agreements. On IBRD's Balance Sheet, effective portfolio guarantees are recorded in Other assets measured based on the expected credit losses on the underlying portfolio. As of March 31, 2025, both portfolio guarantee agreements were effective. For capital adequacy measures, effective portfolio guarantees are reductions to loan exposures in the equity-to-loans ratio to capture their first-loss and portfolio-wide loss-absorption features.

**Table 9: Equity-to-Loans Ratio***In millions of U.S. dollars*

| As of                                                     | March 31, 2025    | June 30, 2024     | Total           | Variance          |                                |
|-----------------------------------------------------------|-------------------|-------------------|-----------------|-------------------|--------------------------------|
|                                                           |                   |                   |                 | Due to Activities | Due to Translation Adjustments |
| Usable paid-in capital (Table 10)                         | \$ 21,610         | \$ 21,183         | \$ 427          | \$ 334            | \$ 93                          |
| Special reserve                                           | 293               | 293               | —               | —                 | —                              |
| General reserve <sup>a</sup>                              | 34,058            | 34,058            | —               | —                 | —                              |
| Cumulative translation adjustment <sup>b</sup>            | (1,034)           | (1,126)           | 92              | —                 | 92                             |
| Hybrid capital                                            | 476               | —                 | 476             | 476               | —                              |
| Other adjustments <sup>c</sup>                            | 192               | 247               | (55)            | —                 | (55)                           |
| <b>Equity (usable equity)</b>                             | <b>\$ 55,595</b>  | <b>\$ 54,655</b>  | <b>\$ 940</b>   | <b>\$ 810</b>     | <b>\$ 130</b>                  |
| Loan exposures                                            | \$ 275,567        | \$ 263,190        | \$ 12,377       | \$ 11,908         | \$ 469                         |
| Adjustments for third-party guarantees received           | (13,343)          | (10,658)          | (2,685)         | (2,678)           | (7)                            |
| Adjustment for portfolio guarantees received <sup>d</sup> | (4,280)           | —                 | (4,280)         | (4,280)           | —                              |
| Present value of guarantees provided                      | 3,749             | 3,488             | 261             | 239               | 22                             |
| Effective but undisbursed DDOs                            | 2,152             | 1,261             | 891             | 884               | 7                              |
| Relevant accumulated provisions                           | (2,832)           | (2,942)           | 110             | 120               | (10)                           |
| Deferred loan income                                      | (649)             | (594)             | (55)            | (54)              | (1)                            |
| Other exposures                                           | 378               | 377               | 1               | 1                 | —                              |
| <b>Loans (total exposure)</b>                             | <b>\$ 260,742</b> | <b>\$ 254,122</b> | <b>\$ 6,620</b> | <b>\$ 6,140</b>   | <b>\$ 480</b>                  |
| <b>Equity-to-Loans Ratio</b>                              | <b>21.3 %</b>     | <b>21.5 %</b>     |                 |                   |                                |

a. June 30, 2024 amount prospectively includes the transfer to the General Reserve, which was approved by the Board on August 6, 2024.

b. Excludes cumulative translation amounts associated with the unrealized mark-to-market gains/losses on non-trading portfolios, net.

c. Includes cumulative translation gains on non-functional currencies of \$240 million (\$295 million gains as of June 30, 2024).

d. The adjustment for portfolio guarantees received is management's estimate of the benefit of the PGP which covers losses on the entire portfolio (first loss), and also the counterparty credit risk.

**Table 10: Usable Paid-In Capital***In millions of U.S. dollars*

| As of                                                                                  | March 31, 2025   | June 30, 2024    | Variance      |
|----------------------------------------------------------------------------------------|------------------|------------------|---------------|
| Paid-in Capital                                                                        | \$ 22,786        | \$ 22,452        | \$ 334        |
| Deferred amounts to maintain value of currency holdings <sup>a</sup>                   | (522)            | (558)            | 36            |
| Adjustments for unreleased NCPIC:                                                      |                  |                  |               |
| Restricted cash                                                                        | (63)             | (66)             | 3             |
| Nonnegotiable, noninterest-bearing demand obligations on account of subscribed capital | (309)            | (310)            | 1             |
| Receivable amounts to maintain value of currency holdings                              | (283)            | (337)            | 54            |
| MOV payable                                                                            | 1                | 2                | (1)           |
| Total Adjustments for unreleased NCPIC                                                 | (654)            | (711)            | 57            |
| <b>Usable paid-in capital</b>                                                          | <b>\$ 21,610</b> | <b>\$ 21,183</b> | <b>\$ 427</b> |

a. The Maintenance-Of-Value (MOV) on released National Currency Paid-In Capital (NCPIC) is considered to be deferred.

During the first nine months of FY25, IBRD received \$334 million of paid-in capital subscribed under the 2018 GCI and SCI, bringing the cumulative amounts received to \$6.3 billion, 84% of the \$7.5 billion available for subscription. In line with IBRD's currency management policy, exchange rate movements during the period did not have an impact on IBRD's Equity-to-Loans ratio. Under the currency management policy, to minimize exchange rate risk, IBRD matches its borrowing obligations in any one currency (after derivatives) with assets in the same currency. In addition, IBRD periodically undertakes currency conversions to align the currency composition of its equity with that of its outstanding loans, across major currencies.

## Credit Risk

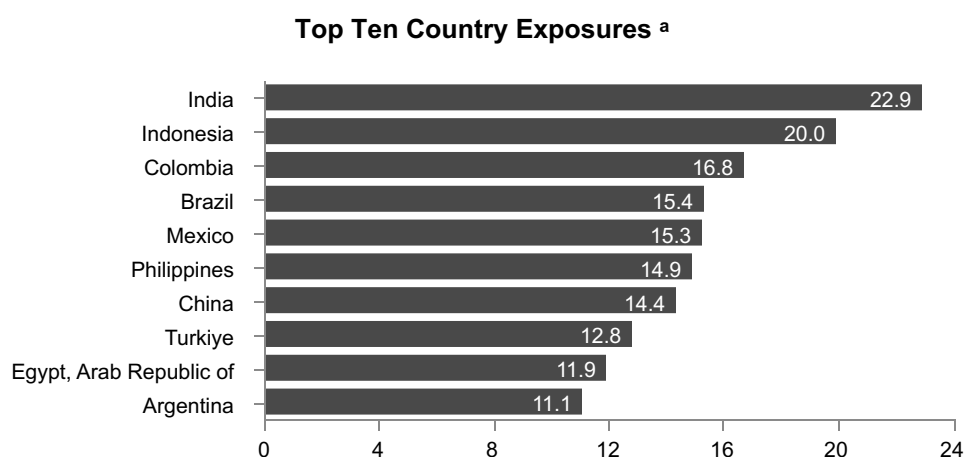
IBRD faces two types of credit risk: country credit risk and counterparty credit risk. Country credit risk is the risk of loss due to a country not meeting its contractual obligations, and counterparty credit risk is the risk of loss attributable to a counterparty not honoring its contractual obligations. IBRD is exposed to commercial as well as non-commercial counterparty credit risk.

### Country Credit Risk

IBRD manages country credit risk by using individual country exposure limits and produces credit risk ratings for all its borrowing countries, which reflect country economic, financial, and political circumstances, and also considers Environmental, Social and Governance (ESG) risk factors. In addition, IBRD conducts stress tests of the effects of changes in market variables and of potential geopolitical events on its portfolio to complement its capital adequacy framework.

**Figure 10: Country Exposures as of March 31, 2025**

*In billions of U.S. dollars*



*a. Exposure includes loans outstanding and guarantees provided and are net of guarantees received.*

As of March 31, 2025, IBRD's loans outstanding to Ukraine were \$16.6 billion and guarantees provided to Ukraine were \$0.5 billion. Guarantees and other credit enhancements received from third parties for the benefit of Ukraine were \$10.9 billion, bringing IBRD's net exposure to Ukraine to \$6.2 billion.

### Credit enhancement arrangements

As of March 31, 2025, IBRD had \$11.1 billion of outstanding loans under which guarantees were received from highly rated member countries or other Multilateral Development Banks (\$8.9 billion as of June 30, 2024).

In addition, as of March 31, 2025, IBRD received total notional value of \$1.1 billion portfolio guarantees from 2 highly rated member countries, under its new Portfolio Guarantee Platform (PGP).

These guarantees serve as credit enhancements and reduce IBRD's internal risk capital requirements. Guarantees that are contractually attached to the loan reduce the exposure at risk in computing the loan loss provision. Guarantees that are not contractually attached to the loan (including the Portfolio Guarantee Platform), are recorded as a recoverable asset and included in Other assets on the Balance Sheet (see Notes to the Financial Statements, Note D - Loans and Other Exposures).

IBRD has also received other forms of credit enhancements for loans outstanding totaling \$2.5 billion as of March 31, 2025 (\$2.0 billion as of June 30, 2024), that protect IBRD against the risk of loss on certain loans in IBRD's portfolio. These credit enhancements are accounted for as derivatives at fair value and are included in Other assets on IBRD's Balance Sheet as they do not meet the accounting definition of guarantees.

**Table 11: Credit Enhancements Received***In millions of U.S. dollars*

| As of                                                    | March 31, 2025 |               | June 30, 2024 |               |
|----------------------------------------------------------|----------------|---------------|---------------|---------------|
| <b>Bilateral Guarantees Received</b>                     |                |               |               |               |
| Borrowing Country With Loan Guarantees                   |                |               |               |               |
| Brazil                                                   | \$             | 185           | \$            | 200           |
| Egypt, Arab Republic of                                  |                | 138           |               | 142           |
| Indonesia                                                |                | 350           |               | 350           |
| Iraq                                                     |                | 341           |               | 359           |
| Jordan                                                   |                | 343           |               | 367           |
| Morocco                                                  |                | 123           |               | 155           |
| Philippines                                              |                | 216           |               | 220           |
| Ukraine                                                  |                | 9,360         |               | 7,057         |
| <b>Total Outstanding</b>                                 | <b>\$</b>      | <b>11,056</b> | <b>\$</b>     | <b>8,850</b>  |
| <b>Portfolio Guarantees Received</b>                     |                |               |               |               |
|                                                          |                | 1,070         |               | —             |
| <b>Other Credit Enhancements Received</b>                |                |               |               |               |
| Borrowing Country With Other Credit Enhancements         |                |               |               |               |
| India                                                    |                | 1,000         |               | 1,000         |
| Ukraine                                                  |                | 1,500         |               | 1,016         |
| <b>Total Outstanding</b>                                 | <b>\$</b>      | <b>2,500</b>  | <b>\$</b>     | <b>2,016</b>  |
| <b>Total Guarantees and Credit Enhancements Received</b> | <b>\$</b>      | <b>14,626</b> | <b>\$</b>     | <b>10,866</b> |

### Portfolio Concentration Risk

Portfolio concentration risk, which arises when a small group of borrowers accounts for a large share of loans outstanding, is a key risk for IBRD. The ten countries with the highest exposures accounted for 58% of IBRD's total exposure as of March 31, 2025.

Concentration risk is carefully managed, in part, by applying an exposure limit to a single borrowing country for the aggregate balance of loans outstanding, the present value of guarantees provided, the undisbursed portion of DDOs, and other eligible exposures that have become effective. Under the current guidelines, IBRD's exposure to a single borrowing country is restricted to the lower of an Equitable Access Limit (EAL) or the Single Borrower Limit (SBL).

The SBL framework reflects a dual-SBL system, which differentiates between countries below the Graduation Discussion Income (GDI) threshold and those above it. Under this system, the FY25 SBL is \$30.9 billion for highly creditworthy countries below the GDI, and \$22.2 billion for highly creditworthy countries above the GDI.

### Accumulated Provision for Losses on Loans and Other Exposures

As of March 31, 2025, IBRD's accumulated provision for losses on loans and other exposures was \$3.0 billion (including \$514 million of accumulated provision related to loan commitments, see Notes to Condensed Quarterly Financial Statements - Note D - Loans and Other Exposures), which was less than 1% of the underlying exposures (\$3.0 billion as of June 30, 2024, less than 1% of the underlying exposures).

As of March 31, 2025, 0.5% of IBRD's total loans outstanding were in nonaccrual status, all related to Zimbabwe and Belarus. During the first nine months of FY25, IBRD received \$1 million from borrowers in non-accrual status as payment towards overdue principal (\$2 million as payment towards overdue interest in FY24 YTD). See Notes to Condensed Quarterly Financial Statements, Note D - Loans and Other Exposures.

No loans in nonaccrual status to any borrowing country were restored to accrual status during the first nine months of FY25.



## Counterparty Credit Risk

IBRD is exposed to commercial and non-commercial counterparty credit risk.

### Commercial Counterparty Credit Risk

Commercial counterparty credit risk is the risk that counterparties fail to meet their payment obligations under the terms of the contract or other financial instruments. Effective management of counterparty credit risk is vital to the success of IBRD's funding, investment, and asset/liability management activities. The monitoring and management of these risks is continuous as the market environment evolves.

As a result of IBRD's use of collateral arrangements for swap transactions, its residual commercial counterparty credit risk is concentrated in the investment portfolio, in instruments issued by sovereign governments and non-sovereign holdings (including agencies and asset-backed securities, corporates, and time deposits).

As shown in Table 12, 73% of IBRD's investment portfolio is rated AA or above, and the remainder predominantly rated A. The exposures with AAA and AA rated counterparties primarily relate to sovereign debt and time deposits. The A rated counterparties principally consist of financial institutions (limited to short-term deposits and swaps) and sovereign debt.

**Table 12: Commercial Credit Exposure, Net of Collateral Held, by Counterparty Rating**

*In millions of U.S. dollars*

| <i>As of March 31, 2025</i>             |                    |                       |                          |                       |                   |  |
|-----------------------------------------|--------------------|-----------------------|--------------------------|-----------------------|-------------------|--|
| <i>Counterparty Rating <sup>a</sup></i> | <i>Investments</i> |                       | <i>Net Swap Exposure</i> | <i>Total Exposure</i> | <i>% of Total</i> |  |
|                                         | <i>Sovereigns</i>  | <i>Non-Sovereigns</i> |                          |                       |                   |  |
| AAA                                     | \$ 11,568          | \$ 12,280             | \$ —                     | \$ 23,848             | 24 %              |  |
| AA                                      | 4,870              | 43,087                | 36                       | 47,993                | 49                |  |
| A                                       | 8,310              | 17,563                | 134                      | 26,007                | 27                |  |
| BBB                                     | 3                  | 32                    | —                        | 35                    | *                 |  |
| BB or lower/unrated                     | —                  | 8                     | 2                        | 10                    | *                 |  |
| <b>Total</b>                            | <b>\$ 24,751</b>   | <b>\$ 72,970</b>      | <b>\$ 172</b>            | <b>\$ 97,893</b>      | <b>100 %</b>      |  |

| <i>As of June 30, 2024</i>              |                    |                       |                          |                       |                   |  |
|-----------------------------------------|--------------------|-----------------------|--------------------------|-----------------------|-------------------|--|
| <i>Counterparty Rating <sup>a</sup></i> | <i>Investments</i> |                       | <i>Net Swap Exposure</i> | <i>Total Exposure</i> | <i>% of Total</i> |  |
|                                         | <i>Sovereigns</i>  | <i>Non-Sovereigns</i> |                          |                       |                   |  |
| AAA                                     | \$ 9,583           | \$ 8,844              | \$ —                     | \$ 18,427             | 23 %              |  |
| AA                                      | 6,778              | 36,481                | 54                       | 43,313                | 54                |  |
| A                                       | 7,240              | 11,505                | 131                      | 18,876                | 23                |  |
| BBB                                     | 4                  | 28                    | —                        | 32                    | *                 |  |
| BB or lower/unrated                     | —                  | 7                     | —                        | 7                     | *                 |  |
| <b>Total</b>                            | <b>\$ 23,605</b>   | <b>\$ 56,865</b>      | <b>\$ 185</b>            | <b>\$ 80,655</b>      | <b>100 %</b>      |  |

*a. Average rating is calculated using available ratings from the three major rating agencies; however, if ratings are not available from each of the three rating agencies, IBRD uses the average of the ratings available from any of such rating agencies or a single rating to the extent that an instrument or issuer (as applicable) is rated by only one rating agency.*

*\* Indicates percentage less than 0.5%.*

### Non-Commercial Counterparty Credit Risk

In addition to its derivative transactions with commercial counterparties, IBRD offers derivative-intermediation and other services to borrowing member countries, as well as to affiliated and non-affiliated organizations, to help meet their development needs and fulfill their development mandates (Table 13).

IBRD has a master derivatives agreement with the International Finance Facility for Immunisation (IFFIm), under which several transactions have been executed. IBRD has the right to call for collateral above an agreed specified threshold. As of March 31, 2025, IBRD had not exercised this right, but may do so under the existing terms of the agreement. Rather than calling for collateral, IBRD and IFFIm have agreed to manage IBRD's exposure by applying a risk management buffer to the gearing ratio limit. The gearing ratio limit represents the maximum amount of

IFFIm's net financial obligations less cash and liquid assets, as a percentage of the net present value of its financial assets.

**Table 13: Non-Commercial Counterparty Credit Risk**

*In millions of U.S. dollars*

*Exposures as of March 31, 2025*

| <i>Non-Commercial Counterparty</i> | <i>Instrument used</i> | <i>Purpose of derivative transaction</i>              | <i>Notional</i> | <i>Net Exposure</i> |
|------------------------------------|------------------------|-------------------------------------------------------|-----------------|---------------------|
| Borrowing                          |                        |                                                       |                 |                     |
| Member Countries                   | Derivatives            | Assist borrowing member countries with managing risks | \$ 6,792        | \$ —                |
| Non-Affiliated Organization        | Derivatives            | Assist IFFIm with managing financial risks            | 1,847           | —                   |
|                                    |                        |                                                       | <u>\$ 8,639</u> | <u>\$ —</u>         |

## Changes in Credit Spreads

The sensitivity of IBRD's portfolios to credit represents the change in fair value corresponding to changes in credit spreads.

- *Investments*: IBRD purchases investment-grade securities for its liquid asset portfolio. Credit risk is controlled through appropriate eligibility criteria (see investment eligibility criteria in IBRD's MD&A as of June 30, 2024) and a consultative loss limit.
- *Borrowings*: IBRD's own credit risk reflects the cost of funding relative to applicable reference rates. Changes in IBRD's credit spreads result in unrealized mark-to-market gains/losses, recorded as Net Change in DVA on Fair Value Option elected liabilities in the Condensed Statements of Comprehensive Income.
- *Loans*: IBRD's fair value model represents a hypothetical exit price of the loan portfolio. It incorporates Credit Default Swaps (CDS) spreads as an indicator of the credit risk for each borrower. IBRD does not hedge its sovereign credit exposure, but Management assesses its credit risk through a loan-loss provisioning framework. The loan loss provision represents the expected losses inherent in its accrual and nonaccrual portfolios. IBRD's country credit risk is managed by using individual country exposure limits and by monitoring its credit-risk-bearing capacity.
- *Derivatives*: IBRD uses derivatives to manage exposures to currency and interest rate risks in its investment, loan, other ALM and borrowing portfolios. It is therefore exposed to commercial counterparty credit risk on these instruments.

## Market Risk

IBRD is exposed to changes in interest and exchange rates, and it uses various strategies to minimize its exposure to market risk.

### Interest Rate Risk

Under its current interest rate risk management strategy, IBRD seeks to match the interest rate sensitivity of its assets (loan and investment trading portfolios) with those of its liabilities (borrowing portfolio) by using derivatives, such as interest rate swaps. These derivatives effectively convert IBRD's financial assets and liabilities into variable-rate instruments. After considering the effects of these derivatives, virtually the entire loan and borrowing portfolios are carried at variable interest rates.

#### *Loans to borrowing countries*

Under IBRD's loan agreements, if an interest rate yields a negative rate, the interest rate charged is zero.

#### *Liquid Asset Portfolio*

IBRD's existing guidelines allow for the investment in a wide variety of credit products in both developed and emerging market economies (see investment eligibility criteria in IBRD's MD&A as of June 30, 2024).

The interest rate risk on IBRD's liquid asset portfolio, including the risk that the value of assets in the portfolio will fluctuate in response to changes in market interest rates, is managed within specified duration-mismatch limits. The liquid asset portfolio has spread exposure because IBRD holds instruments other than short-term bank deposits.

These investments generally yield positive returns over the risk-free reference rate (SOFR) but can generate mark-to-market gains or losses if the credit spread moves.

### Fixed Spread Loan Refinancing Risk

While IBRD no longer offers loans on fixed spread terms, refinancing risk for funding fixed-spread loans in the portfolio relates to the potential impact of any future deterioration in IBRD's funding spread relative to what was computed in the fixed-spread when the loan was initially disbursed. IBRD does not match the maturity of its funding with that of its fixed spread loans as this would result in significantly higher financing costs for all loans. Instead, IBRD targets a shorter average funding maturity and manages the refinancing risk by charging a risk premium.

### Other Interest Rate Risks

Interest rate risk also arises from other variables, including differences in timing between the contractual maturities or re-pricing of IBRD's assets, liabilities, and derivative instruments. On variable-rate assets and liabilities, IBRD is exposed to timing mismatches between the reset dates on its variable-rate receivables and payables. IBRD monitors these exposures and may execute overlay interest rate swaps to reduce sizable timing mismatches.

### Exchange Rate Risk

IBRD holds the majority of its assets and liabilities in U.S. dollars and euro. However, the reported levels of its assets, liabilities, income, and expenses in the financial statements are affected by exchange rate movements in all the currencies in which IBRD transacts, relative to its reporting currency, the U.S. dollar. While IBRD's equity could be affected by exchange rate movements, IBRD's risk management policies work to minimize the exchange rate risk in its capital adequacy, by immunizing the Equity-to-Loans ratio against exchange rate movements.

To minimize exchange rate risk, IBRD matches its borrowing obligations in any one currency (after derivatives) with assets in the same currency. In addition, IBRD undertakes periodic currency conversions to align the currency composition of its equity with that of its outstanding loans across major currencies. Together, these policies are designed to minimize the impact of exchange rate fluctuations on the Equity-to-Loans ratio; thereby preserving IBRD's ability to better absorb unexpected losses from arrears on loan repayments, regardless of exchange rate movements. As a result, exchange rate movements during the period generally do not have an impact on the overall Equity-to-Loans ratio.

### Liquidity Risk

Liquidity risk arises in the general funding of IBRD's activities and in managing its financial position. It includes the risk of IBRD being unable to fund its portfolio of assets at appropriate maturities and rates, and the risk of being unable to liquidate a position in a timely manner at a reasonable price.

Under IBRD's liquidity management guidelines, liquid asset holdings are kept at or above a specified Prudential Minimum to safeguard against cash flow interruptions.

The Target Liquidity Level represents twelve-months' coverage as calculated at the start of every fiscal year. The Prudential Minimum is defined as 80% of the Target Liquidity Level. The maximum guideline of 150% of the Target Liquidity Level continues to function as a guideline rather than a hard ceiling (Table 14).

**Table 14: Liquidity Levels for FY25**

|                                             | <i>In billions of U.S. dollars</i> | <i>% of Target Liquidity Level</i> |
|---------------------------------------------|------------------------------------|------------------------------------|
| Target Liquidity Level                      | \$ 65.0                            |                                    |
| Guideline Maximum Liquidity Level           | 97.5                               | 150%                               |
| Prudential Minimum Liquidity Level          | 52.0                               | 80%                                |
| Liquid Asset Portfolio as of March 31, 2025 | \$ 97.9                            | 151%                               |

The FY25 Target Liquidity Level is \$6.0 billion higher than the prior year, due to the higher projected debt service in FY25.

**Operational Risk**

Operational risk is defined as the risk of financial loss, or damage to IBRD's reputation resulting from inadequate or failed internal processes, people and systems, or from external events.

IBRD recognizes the importance of operational risk management activities, which are embedded in its financial operations. As part of its business activities, IBRD is exposed to a range of operational risks including physical security, staff health and safety, information security and data privacy, business continuity, and third-party risks. IBRD's approach to identifying and managing operational risk includes a dedicated program for these risks and a robust process that includes assessing and prioritizing operational risks, monitoring and reporting relevant key risk indicators, aggregating and analyzing internal and external events, and identifying emerging risks that may affect business units and developing risk response and mitigating actions.

## Section V: Governance

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### Senior Management Changes

Lakshmi Shyam-Sunder, WBG Chief Risk Officer and Vice President, retired in January 2025. Dennis McLaughlin was appointed to this role effective January 2, 2025.

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# INTERNATIONAL BANK FOR RECONSTRUCTION AND DEVELOPMENT (IBRD)

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*March 31, 2025*

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## CONDENSED BALANCE SHEETS

Expressed in millions of U.S. dollars

|                                                                                                                                                                                                 | March 31, 2025<br>(Unaudited) | June 30, 2024<br>(Unaudited) |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------|------------------------------|
| <b>Assets</b>                                                                                                                                                                                   |                               |                              |
| <b>Due from banks—Notes C and J</b>                                                                                                                                                             |                               |                              |
| Unrestricted cash                                                                                                                                                                               | \$ 339                        | \$ 410                       |
| Restricted cash                                                                                                                                                                                 | 77                            | 80                           |
|                                                                                                                                                                                                 | <u>416</u>                    | <u>490</u>                   |
| <b>Investments-Trading</b> (including securities transferred under repurchase or securities lending agreements of \$1,097 million—March 31, 2025 and \$255 million—June 30, 2024)—Notes C and J | 100,515                       | 82,728                       |
| <b>Securities purchased under resale agreements—Notes C and J</b>                                                                                                                               | 15                            | 79                           |
| <b>Derivative assets, net—Notes H and J</b>                                                                                                                                                     | 455                           | 456                          |
| <b>Loans outstanding—Notes D, H and J</b>                                                                                                                                                       |                               |                              |
| Total loans approved                                                                                                                                                                            | 362,418                       | 348,248                      |
| Less: Undisbursed balance (including signed loan commitments of \$73,584 million—March 31, 2025 and \$66,761 million—June 30, 2024)                                                             | (86,851)                      | (85,058)                     |
| Loans outstanding                                                                                                                                                                               | <u>275,567</u>                | <u>263,190</u>               |
| Less:                                                                                                                                                                                           |                               |                              |
| Accumulated provision for loan losses                                                                                                                                                           | (2,385)                       | (2,360)                      |
| Deferred loan income                                                                                                                                                                            | (650)                         | (594)                        |
| Net loans outstanding                                                                                                                                                                           | <u>272,532</u>                | <u>260,236</u>               |
| <b>Other assets—Notes C, D, H and J</b>                                                                                                                                                         | 16,212                        | 12,623                       |
| <b>Total assets</b>                                                                                                                                                                             | <u>\$ 390,145</u>             | <u>\$ 356,612</u>            |



|                                                                                                                                                                        | March 31, 2025<br>(Unaudited) | June 30, 2024<br>(Unaudited) |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------|------------------------------|
| <b>Liabilities</b>                                                                                                                                                     |                               |                              |
| <b><i>Borrowings—Notes E and J</i></b>                                                                                                                                 |                               |                              |
| Borrowings, at fair value                                                                                                                                              | \$ 295,851                    | \$ 261,790                   |
| Borrowings, at amortized cost                                                                                                                                          | 476                           | —                            |
|                                                                                                                                                                        | <u>296,327</u>                | <u>261,790</u>               |
| <b><i>Securities sold under repurchase agreements, securities lent under securities lending agreements, and payable for cash collateral received—Notes C and J</i></b> | 1,097                         | 256                          |
| <b><i>Derivative liabilities, net—Notes H and J</i></b>                                                                                                                | 17,173                        | 22,728                       |
| <b><i>Other liabilities—Notes C, D, H and J</i></b>                                                                                                                    | 9,029                         | 8,354                        |
| <b>Total liabilities</b>                                                                                                                                               | <u>323,626</u>                | <u>293,128</u>               |
| <b>Equity</b>                                                                                                                                                          |                               |                              |
| <b><i>Capital stock—Note B</i></b>                                                                                                                                     |                               |                              |
| Authorized capital (2,783,873 shares—March 31, 2025 and June 30, 2024)                                                                                                 |                               |                              |
| Subscribed capital (2,701,456 shares—March 31, 2025, and 2,678,098 shares—June 30, 2024)                                                                               | 325,890                       | 323,072                      |
| Less: Uncalled portion of subscriptions                                                                                                                                | <u>(303,104)</u>              | <u>(300,620)</u>             |
| Paid-in capital                                                                                                                                                        | 22,786                        | 22,452                       |
| <b><i>Nonnegotiable, non-interest-bearing demand obligations on account of subscribed capital</i></b>                                                                  | (309)                         | (310)                        |
| <b><i>Receivable amounts to maintain value of currency holdings</i></b>                                                                                                | (283)                         | (337)                        |
| <b><i>Deferred amounts to maintain value of currency holdings</i></b>                                                                                                  | (522)                         | (558)                        |
| <b><i>Retained earnings—Note G</i></b>                                                                                                                                 | 39,519                        | 38,283                       |
| <b><i>Accumulated other comprehensive income—Note I</i></b>                                                                                                            | 5,328                         | 3,954                        |
| <b>Total equity</b>                                                                                                                                                    | <u>66,519</u>                 | <u>63,484</u>                |
| <b>Total liabilities and equity</b>                                                                                                                                    | <u>\$ 390,145</u>             | <u>\$ 356,612</u>            |

***The Notes to the Condensed Quarterly Financial Statements are an integral part of these Statements.***

# CONDENSED STATEMENTS OF INCOME

Expressed in millions of U.S. dollars

|                                                                                                                | Three Months Ended<br>March 31,<br>(Unaudited) |                   | Nine Months Ended<br>March 31,<br>(Unaudited) |                     |
|----------------------------------------------------------------------------------------------------------------|------------------------------------------------|-------------------|-----------------------------------------------|---------------------|
|                                                                                                                | 2025                                           | 2024              | 2025                                          | 2024                |
| <b>Interest revenue</b>                                                                                        |                                                |                   |                                               |                     |
| Loans, net— <i>Note D</i>                                                                                      | \$ 3,599                                       | \$ 4,075          | \$ 11,678                                     | \$ 11,690           |
| Other asset / liability management derivatives, net— <i>Notes F and J</i>                                      | (270)                                          | (435)             | (1,031)                                       | (1,303)             |
| Investments-Trading, net— <i>Notes C and F</i>                                                                 | 1,042                                          | 1,100             | 3,338                                         | 3,237               |
| Other, net                                                                                                     | —                                              | 1                 | 1                                             | 2                   |
| <b>Borrowing expenses, net—<i>Note E</i></b>                                                                   | <b>(3,482)</b>                                 | <b>(3,918)</b>    | <b>(11,337)</b>                               | <b>(11,252)</b>     |
| <b>Interest revenue, net of borrowing expenses</b>                                                             | <b>889</b>                                     | <b>823</b>        | <b>2,649</b>                                  | <b>2,374</b>        |
| <br><b>Provision for losses on loans and other exposures, (charge) release —<i>Note D</i></b>                  | <br>181                                        | <br>(83)          | <br>(12)                                      | <br>(53)            |
| <br><b>Non-interest revenue</b>                                                                                |                                                |                   |                                               |                     |
| Revenue from externally funded activities— <i>Note H</i>                                                       | 214                                            | 231               | 631                                           | 632                 |
| Commitment charges— <i>Note D</i>                                                                              | 36                                             | 39                | 116                                           | 111                 |
| Other, net                                                                                                     | 149                                            | 9                 | 169                                           | 31                  |
| Total                                                                                                          | 399                                            | 279               | 916                                           | 774                 |
| <br><b>Non-interest expenses</b>                                                                               |                                                |                   |                                               |                     |
| Administrative— <i>Notes H and K</i>                                                                           | (581)                                          | (551)             | (1,732)                                       | (1,632)             |
| Contributions to special programs                                                                              | —                                              | (3)               | (17)                                          | (18)                |
| Other, net— <i>Note K</i>                                                                                      | 38                                             | 41                | 109                                           | 124                 |
| Total                                                                                                          | (543)                                          | (513)             | (1,640)                                       | (1,526)             |
| <br><b>Board of Governors-approved and other transfers—<i>Note G</i></b>                                       | <br>—                                          | <br>—             | <br>(815)                                     | <br>(371)           |
| <br><b>Non-functional currency translation adjustment (losses) gains, net</b>                                  | <br>(23)                                       | <br>24            | <br>(60)                                      | <br>16              |
| <br><b>Unrealized mark-to-market (losses) gains on Investments-Trading portfolio, net—<i>Notes F and J</i></b> | <br>(24)                                       | <br>56            | <br>(67)                                      | <br>82              |
| <br><b>Unrealized mark-to-market gains (losses) on non-trading portfolios, net—<i>Notes F and J</i></b>        | <br>398                                        | <br>242           | <br>265                                       | <br>(111)           |
| <br><b>Net income</b>                                                                                          | <br><u>\$ 1,277</u>                            | <br><u>\$ 828</u> | <br><u>\$ 1,236</u>                           | <br><u>\$ 1,185</u> |

*The Notes to the Condensed Quarterly Financial Statements are an integral part of these Statements.*

## CONDENSED STATEMENTS OF COMPREHENSIVE INCOME

Expressed in millions of U.S. dollars

|                                                                                                | Three Months Ended<br>March 31, (Unaudited) |                | Nine Months Ended<br>March 31, (Unaudited) |                 |
|------------------------------------------------------------------------------------------------|---------------------------------------------|----------------|--------------------------------------------|-----------------|
|                                                                                                | 2025                                        | 2024           | 2025                                       | 2024            |
| <b>Net income (loss)</b>                                                                       | \$ 1,277                                    | \$ 828         | \$ 1,236                                   | \$ 1,185        |
| <b>Other comprehensive income (loss) —Note I</b>                                               |                                             |                |                                            |                 |
| Amortization of unrecognized net actuarial gains on pension plans                              | (16)                                        | (17)           | (48)                                       | (51)            |
| Amortization of unrecognized prior service costs on pension plans                              | 2                                           | 2              | 6                                          | 6               |
| Net change in Debit Valuation Adjustment (DVA) on Fair Value Option elected liabilities—Note J | (113)                                       | (538)          | 1,294                                      | 290             |
| Currency translation adjustments on functional currency gains (losses)                         | 513                                         | (324)          | 122                                        | (62)            |
| Total other comprehensive income (loss)                                                        | 386                                         | (877)          | 1,374                                      | 183             |
| <b>Total comprehensive income (loss)</b>                                                       | <u>\$ 1,663</u>                             | <u>\$ (49)</u> | <u>\$ 2,610</u>                            | <u>\$ 1,368</u> |

## CONDENSED STATEMENTS OF CHANGES IN RETAINED EARNINGS

Expressed in millions of U.S. dollars

|                                                              | Nine Months Ended March 31,<br>(Unaudited) |                  |
|--------------------------------------------------------------|--------------------------------------------|------------------|
|                                                              | 2025                                       | 2024             |
| <b>Retained earnings at the beginning of the fiscal year</b> | \$ 38,283                                  | \$ 36,141        |
| Net income for the period                                    | 1,236                                      | 1,185            |
| <b>Retained earnings at the end of the period</b>            | <u>\$ 39,519</u>                           | <u>\$ 37,326</u> |

*The Notes to the Condensed Quarterly Financial Statements are an integral part of these Statements.*

# CONDENSED STATEMENTS OF CASH FLOWS

Expressed in millions of U.S. dollars

|                                                                                  | Nine Months Ended March 31,<br>(Unaudited) |             |
|----------------------------------------------------------------------------------|--------------------------------------------|-------------|
|                                                                                  | 2025                                       | 2024        |
| <b>Cash flows from investing activities</b>                                      |                                            |             |
| Loans                                                                            |                                            |             |
| Disbursements                                                                    | \$ (21,915)                                | \$ (25,892) |
| Principal repayments                                                             | 10,001                                     | 9,541       |
| Principal prepayments                                                            | 194                                        | 47          |
| Loan origination fees received                                                   | 24                                         | 34          |
| Net derivatives-loans                                                            | 48                                         | 41          |
| Other investing activities, net                                                  | (177)                                      | (121)       |
| Net cash used in investing activities                                            | (11,825)                                   | (16,350)    |
| <b>Cash flows from financing activities</b>                                      |                                            |             |
| Medium and long-term borrowings                                                  |                                            |             |
| New issues                                                                       | 51,604                                     | 38,671      |
| Retirements                                                                      | (27,090)                                   | (26,877)    |
| Short-term borrowings (original maturities greater than 90 days)                 |                                            |             |
| New issues                                                                       | 19,162                                     | 15,352      |
| Retirements                                                                      | (17,304)                                   | (16,581)    |
| Net short-term borrowings (original maturities less than 90 days)                | 4,878                                      | 604         |
| Net derivatives-borrowings                                                       | 246                                        | (50)        |
| Capital subscriptions                                                            | 334                                        | 630         |
| Other financing activities, net                                                  | (9)                                        | 18          |
| Net cash provided by financing activities                                        | 31,821                                     | 11,767      |
| <b>Cash flows from operating activities</b>                                      |                                            |             |
| Net income                                                                       | 1,236                                      | 1,185       |
| Adjustments to reconcile net income to net cash used in operating activities:    |                                            |             |
| Unrealized mark-to-market (gains) losses on non-trading portfolios, net          | (265)                                      | 111         |
| Non-functional currency translation adjustment losses (gains), net               | 60                                         | (16)        |
| Depreciation, amortization and capitalized interest on loans                     | 326                                        | 477         |
| Provision for losses on loans and other exposures, charge                        | 12                                         | 53          |
| Changes in:                                                                      |                                            |             |
| Investment portfolio                                                             | (16,435)                                   | 3,060       |
| Other assets and liabilities                                                     | (5,002)                                    | (482)       |
| Net cash (used in) provided by operating activities                              | (20,068)                                   | 4,388       |
| <b>Effect of exchange rate changes on unrestricted and restricted cash</b>       | (2)                                        | (9)         |
| <b>Net decrease in unrestricted and restricted cash</b>                          | (74)                                       | (204)       |
| <b>Unrestricted and restricted cash at the beginning of the fiscal year</b>      | 490                                        | 547         |
| <b>Unrestricted and restricted cash at the end of the period</b>                 | \$ 416                                     | \$ 343      |
| <b>Supplemental disclosure</b>                                                   |                                            |             |
| Increase (decrease) in ending balances resulting from exchange rate fluctuations |                                            |             |
| Loans outstanding                                                                | \$ 469                                     | \$ (277)    |
| Investment portfolio                                                             | 80                                         | 27          |
| Borrowing portfolio                                                              | 577                                        | (258)       |
| Capitalized interest and loan origination fees included in total loans           | 187                                        | 94          |
| Interest paid on borrowing portfolio                                             | 12,950                                     | 10,952      |

*The Notes to the Condensed Quarterly Financial Statements are an integral part of these Statements.*

# NOTES TO CONDENSED QUARTERLY FINANCIAL STATEMENTS

## NOTE A—SUMMARY OF SIGNIFICANT ACCOUNTING AND RELATED POLICIES

### Basis of Preparation

These unaudited condensed quarterly financial statements and notes should be read in conjunction with the June 30, 2024 audited financial statements and notes included therein. The condensed comparative information that has been derived from the June 30, 2024 audited financial statements has not been audited. In the opinion of management, the condensed quarterly financial statements reflect all adjustments necessary for a fair presentation of IBRD's financial position and results of operations in accordance with accounting principles generally accepted in the United States of America (U.S. GAAP).

Management makes estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the condensed quarterly financial statements and the reported amounts of income and expenses during the reporting periods. Due to the inherent uncertainty involved in making those estimates, actual results could differ from those estimates. Areas in which significant estimates have been made include, but are not limited to, the provision for losses on loans and other exposures, the valuation of certain instruments carried at fair value, and the valuation of pension and other postretirement plan-related liabilities. The results of operations for the first nine months of the current fiscal year are not necessarily indicative of results for the full year.

### Accounting and Reporting Developments

#### *Evaluated Accounting Standards:*

In June 2022, the Financial Accounting Standards Board (FASB) issued Accounting Standard Update (ASU) 2022-03, Fair Value Measurement (Topic 820) *Fair Value Measurement of Equity Securities Subject to Contractual Sale Restrictions*, which clarifies that a contractual restriction on the sale of an equity security is not considered part of the unit of account of the equity security and should not be factored in when measuring fair value. The ASU also clarifies that an entity cannot, as a separate unit of account, recognize and measure a contractual sale restriction. The ASU requires certain disclosures for equity securities subject to contractual sale restrictions. For IBRD, the ASU became effective from the quarter ended September 30, 2024 and the adoption of the ASU did not have a material impact on IBRD's financial statements.

#### *Accounting Standards Under Evaluation:*

In November 2024, the FASB issued ASU 2024-03, *Income Statement—Reporting Comprehensive Income—Expense Disaggregation Disclosures (Subtopic 220-40)*, which requires disaggregated disclosure of income statement expenses for public business entities. The ASU does not change the expense captions an entity presents on the face of the income statement; rather, it requires disaggregation of certain expense captions into specified categories in disclosures within the notes to the financial statements. In January 2025, the FASB issued ASU 2025-01, *Income Statement—Reporting Comprehensive Income—Expense Disaggregation Disclosures (Subtopic 220-40): Clarifying the Effective Date* which clarifies the effective date of ASU 2024-03. For IBRD, the ASUs will be effective for the annual period ending June 30, 2028 (annual statements of fiscal year 2028, and interim reporting periods thereafter). IBRD is currently evaluating the impact of the ASUs on its financial statements.

In November 2023, the FASB issued ASU 2023-07, *Segment Reporting (Topic 280): Improvements to Reportable Segment Disclosures*, which requires additional segment disclosures for public entities, including those with a single reportable segment (such as IBRD), for example, the significant segment expenses that are regularly provided to the chief operating decision maker (CODM), the title and position of the CODM, as well as an explanation of how the CODM uses the reported measure of segment profit or loss. All existing annual disclosures about segment profit or loss must be provided on an interim basis in addition to disclosure of significant segment expenses. For IBRD, the ASU will be effective for the annual period ending June 30, 2025 (annual statements of fiscal year 2025, and interim periods thereafter). IBRD will adopt the ASU on the effective date with additional disclosures in the financial statements.

In October 2023, the FASB issued ASU 2023-06, *Disclosure Improvements: Codification Amendments in Response to the SEC's Disclosure Update and Simplification Initiative*. The new guidance is intended to align U.S. GAAP requirements with those of the SEC and to facilitate the application of U.S. GAAP. If by June 30, 2027, the SEC has

not removed the applicable SEC requirement, the related ASU amendment will not become effective. IBRD is currently evaluating the impact of the ASU on its financial statements.

#### *Accounting for Borrowings at Amortized Cost*

In October 2024, IBRD issued hybrid capital in the legal form of debt, that has characteristics of both debt and equity. Hybrid capital is reported at amortized cost and included in Borrowings on the Condensed Balance Sheets. This financial instrument also contains interest cancellation and principal write down features.

Currently, hybrid capital is available to IBRD's shareholders, who may also enter into separate agreements with IBRD that allow them to redeem the hybrid capital to satisfy the payment condition for their paid-in portion of any future capital increase to which the shareholder has subscribed. In addition, agreements that do not assign interest payment to another party include an option, at the IBRD's discretion, to redeem the instrument at par after an initial period of 5 years.

Hybrid capital is subordinated to IBRD's unsubordinated debt issuances, senior to IBRD equity and pari-passu with all other subordinated issuances. Hybrid capital carries coupon rates similar to those of IBRD's senior medium and long-term bonds. Interest on the hybrid capital is cancellable at the sole discretion of IBRD, or mandatorily upon the occurrence of a trigger event (linked to the ratio of non-performing loans over usable equity, and to the ratio of reported equity-to-assets).

Hybrid capital principal is automatically cancelled in the event IBRD makes a call to its members for callable capital for the sole purposes of meeting IBRD's liabilities.

## **NOTE B—CAPITAL STOCK**

The following table provides a summary of changes in IBRD's authorized and subscribed shares:

**Table B1: IBRD's Shares**

|                                                               | <i>Authorized shares</i> | <i>Subscribed shares</i> |
|---------------------------------------------------------------|--------------------------|--------------------------|
| As of June 30, 2023                                           | 2,783,873                | 2,634,728                |
| General Capital Increase/Selective Capital Increase (GCI/SCI) | —                        | 43,370                   |
| As of June 30, 2024                                           | 2,783,873                | 2,678,098                |
| GCI/SCI                                                       | —                        | 23,358                   |
| As of March 31, 2025                                          | 2,783,873                | 2,701,456                |

The following table provides a summary of the changes in subscribed capital, uncalled portion of subscriptions, and paid-in capital:

**Table B2: IBRD's Capital**

*In millions of U.S. dollars*

|                      | <i>Subscribed capital</i> | <i>Uncalled portion of subscriptions</i> | <i>Paid-in capital</i> |
|----------------------|---------------------------|------------------------------------------|------------------------|
| As of June 30, 2023  | \$ 317,840                | \$ (296,021)                             | \$ 21,819              |
| GCI/SCI              | 5,232                     | (4,599)                                  | 633                    |
| As of June 30, 2024  | 323,072                   | (300,620)                                | 22,452                 |
| GCI/SCI              | 2,818                     | (2,484)                                  | 334                    |
| As of March 31, 2025 | \$ 325,890                | \$ (303,104)                             | \$ 22,786              |

The uncalled portion of subscriptions is subject to call only when required to meet the obligations incurred by IBRD as a result of borrowings or guaranteeing loans.

On October 1, 2018, IBRD's Board of Governors approved two resolutions that increased IBRD's authorized capital. The total increase in authorized capital was \$57.5 billion, of which, \$27.8 billion and \$29.7 billion relate to the GCI and SCI, respectively. Under the terms of the 2018 GCI and SCI, paid-in capital could increase by up to \$7.5 billion. On May 23, 2023, the Board approved the extension of the subscription period for GCI and SCI from

October 1, 2023 to October 1, 2025. As of March 31, 2025, the cumulative subscription payments received under the 2018 capital increases were \$6.3 billion.

## NOTE C—INVESTMENTS

IBRD's investments include the liquid asset portfolio and holdings relating to the Post Employment Benefit Plan (PEBP) and the Post-Retirement Contribution Reserve Fund (PCRF).

Investments held by IBRD are designated as trading and reported at fair value or at face value which approximates fair value. As of March 31, 2025, Investments were primarily comprised of government, agency and corporate obligations and time deposits (40% and 54%, respectively), with all of the instruments classified as Level 1 or Level 2 within the fair value hierarchy.

A summary of IBRD's Investments-Trading is as follows:

**Table C1: Investments - Trading composition**

*In millions of U.S. dollars*

|                                              | <i>March 31, 2025</i> | <i>June 30, 2024</i> |
|----------------------------------------------|-----------------------|----------------------|
| Government, agency and corporate obligations | \$ 40,349             | \$ 32,353            |
| Time deposits                                | 54,154                | 45,991               |
| Asset-backed Securities (ABS)                | 3,047                 | 1,880                |
| Other fund investments <sup>a</sup>          | 2,643                 | 2,155                |
| Equity securities <sup>b</sup>               | 322                   | 349                  |
| Total                                        | <u>\$ 100,515</u>     | <u>\$ 82,728</u>     |

*a. Includes PEBP holdings as investments in hedge funds, private equity funds, commingled funds, credit strategy funds and real asset funds, at net asset value (NAV) and investments held by the IBRD Surplus-Funded Livable Planet Fund (LPF1) and the Grant Facility for Project Preparation (GFPP) at fair value.*

*b. Relates to PEBP holdings.*

IBRD manages its investments on a net portfolio basis. As of March 31, 2025, the largest holdings from a single counterparty within the net investment portfolio was the Government of Singapore (8%). The following table summarizes IBRD's net investment portfolio position:

**Table C2: Net investment portfolio***In millions of U.S. dollars*

|                                                                                                                                                                | <i>March 31, 2025</i> | <i>June 30, 2024</i> |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------|----------------------|
| <b>Investments-Trading</b>                                                                                                                                     | \$ 100,515            | \$ 82,728            |
| <b>Securities purchased under resale agreements</b>                                                                                                            | 15                    | 79                   |
| <b>Securities sold under repurchase agreements, securities lent under securities lending agreements, and payable for cash collateral received <sup>a</sup></b> | (1,097)               | (277)                |
| <b>Derivative assets</b>                                                                                                                                       |                       |                      |
| Currency swaps and forward contracts                                                                                                                           | 743                   | 812                  |
| Interest rate swaps                                                                                                                                            | 69                    | 14                   |
| Other <sup>b</sup>                                                                                                                                             | 3                     | 1                    |
| <b>Total</b>                                                                                                                                                   | <b>815</b>            | <b>827</b>           |
| <b>Derivative liabilities</b>                                                                                                                                  |                       |                      |
| Currency swaps and forward contracts                                                                                                                           | (573)                 | (68)                 |
| Interest rate swaps                                                                                                                                            | (20)                  | (450)                |
| Other <sup>b</sup>                                                                                                                                             | —                     | —                    |
| <b>Total</b>                                                                                                                                                   | <b>(593)</b>          | <b>(518)</b>         |
| <b>Cash held in investment portfolio <sup>c</sup></b>                                                                                                          | <b>232</b>            | <b>308</b>           |
| <b>Receivable from investment securities traded and Other assets</b>                                                                                           | <b>3,680</b>          | <b>438</b>           |
| <b>Payable for investment securities purchased <sup>d</sup></b>                                                                                                | <b>(453)</b>          | <b>(561)</b>         |
| <b>IFC PCRf payable <sup>e</sup></b>                                                                                                                           | <b>(461)</b>          | <b>(344)</b>         |
| <b>Net investment portfolio</b>                                                                                                                                | <b>\$ 102,653</b>     | <b>\$ 82,680</b>     |

a. There was no cash collateral received from counterparties under derivative agreements (\$21 million—June 30, 2024).

b. Includes swaptions, options and futures contracts.

c. This amount is included in Unrestricted cash under Due from banks on the Condensed Balance Sheets.

d. There were no liabilities related to short sales (\$59 million—June 30, 2024).

e. Liabilities are included in Other liabilities on the Condensed Balance Sheets.

The composition of IBRD's net investment portfolio is as follows:

**Table C3: Net investment portfolio composition***In millions of U.S. dollars*

|                                 | <i>March 31, 2025</i> | <i>June 30, 2024</i> |
|---------------------------------|-----------------------|----------------------|
| <b>Net investment portfolio</b> |                       |                      |
| Liquid assets                   | \$ 97,895             | \$ 78,792            |
| PEBP, PCRf and Other holdings   | \$ 4,758              | \$ 3,888             |
| <b>Total</b>                    | <b>\$ 102,653</b>     | <b>\$ 82,680</b>     |

IBRD uses derivative instruments to manage the associated currency and interest rate risks in the portfolio. For details of these instruments, see Note F—Derivative Instruments. After considering the effects of these derivatives, IBRD's investment portfolio is predominantly denominated in U.S. dollars.

## Commercial Credit Risk

For the purpose of risk management, IBRD is party to a variety of financial transactions, certain of which involve elements of credit risk. Credit risk exposure represents the maximum potential loss due to possible non-performance by obligors and counterparties under the terms of the contracts. For all securities, IBRD limits trading to a list of authorized dealers and counterparties. In addition, IBRD may require collateral in connection with resale agreements and swap agreements. The collateral serves to mitigate IBRD's exposure to credit risk.



### Swap Agreements

Credit risk is mitigated through the application of eligibility criteria and volume limits for transactions with individual counterparties and through the use of mark-to-market collateral arrangements for swap transactions. IBRD may require collateral in the form of cash or other approved liquid securities from individual counterparties in order to mitigate its credit exposure.

IBRD has entered into master derivative agreements that contain legally enforceable close-out netting provisions. These agreements may further reduce the gross credit risk exposure related to the swaps. Credit risk with financial assets subject to a master derivatives arrangement is further reduced under these agreements to the extent that payments and receipts with the counterparty are netted at settlement. The reduction in exposure as a result of these netting provisions can vary due to the impact of changes in market conditions on existing and new transactions. The extent of the reduction in exposure may therefore change substantially within a short period of time following the balance sheet date. For more information on netting and offsetting provisions, see Note F—Derivative Instruments.

The following is a summary of the collateral received by IBRD for swap transactions:

**Table C4: Collateral received**

*In millions of U.S. dollars*

|                                      | <i>March 31, 2025</i> | <i>June 30, 2024</i> |
|--------------------------------------|-----------------------|----------------------|
| Collateral received                  |                       |                      |
| Cash                                 | \$ —                  | \$ 21                |
| Securities                           | 348                   | 322                  |
| Total collateral received            | <u>\$ 348</u>         | <u>\$ 343</u>        |
| Collateral permitted to be replugged | \$ 348                | \$ 343               |
| Amount of collateral replugged       | —                     | —                    |
| Amount of cash collateral invested   | —                     | 21                   |

### Securities Lending

IBRD may engage in securities lending and repurchases, against adequate collateral, as well as secured borrowing and reverse repurchases (resales) of government and agency obligations, corporate securities, ABS and Mortgage-backed securities (MBS). These transactions, if any, are conducted under legally enforceable master netting arrangements, which allow IBRD to reduce its gross credit exposure related to these transactions. IBRD presents its securities lending and repurchases, as well as resales, on a gross basis on the Condensed Balance Sheets. As of March 31, 2025, there were no amounts that could potentially be offset as a result of legally enforceable master netting arrangements (\$59 million—June 30, 2024).

Securities lending and repurchase agreements expose IBRD to several risks, including counterparty risk, reinvestment risk, and risk of a collateral gap (due to increases or decrease in the fair value of collateral pledged). IBRD has procedures in place to ensure that trading activity and balances under these agreements are below predefined counterparty and maturity limits, and to actively manage net counterparty exposure, after collateral, using daily market values. Whenever the collateral pledged by IBRD related to its borrowings under repurchase agreements and securities lending agreements declines in value, the transaction is re-priced as appropriate by returning cash or pledging additional collateral.

Transfers of securities by IBRD to counterparties are not accounted for as sales as the accounting criteria for the treatment as a sale have not been met. Counterparties are permitted to repledge these securities until the repurchase date.

As of March 31, 2025, liabilities relating to securities transferred under repurchase or securities lending agreements were \$1,097 million (\$256 million—June 30, 2024) and there were no unsettled trades relating to repurchase or securities lending agreements (Nil—June 30, 2024). There were no replacement trades entered into in anticipation of maturing trades of a similar amount (Nil—June 30, 2024). As of March 31, 2025 and June 30, 2024, the remaining contractual maturity of these agreements was up to 90 days and less than 30 days, respectively. The securities transferred were mainly comprised of government and agency obligations, equity securities and sovereign debt.

In the case of resale agreements, IBRD receives collateral in the form of liquid securities and is permitted to repledge these securities. While these transactions are legally considered to be true purchases and sales, the securities received are not recorded on IBRD's Condensed Balance Sheets as the accounting criteria for treatment as a sale have not been met. As of March 31, 2025 and June 30, 2024, there were no unsettled trades pertaining to securities purchased under resale agreements. For resale agreements, IBRD received securities with a fair value of \$15 million as of March 31, 2025 (\$79 million—June 30, 2024). As of March 31, 2025 and June 30, 2024, none of these securities had been transferred under repurchase or security lending agreements.

## **NOTE D—LOANS AND OTHER EXPOSURES**

IBRD's loans and other exposures (collectively, "exposures") are generally made to, or guaranteed by, member countries of IBRD. In addition, IBRD may also make loans to the International Finance Corporation (IFC), an affiliated organization, without any guarantee. Other exposures include signed loan commitments including Deferred Drawdown Options (DDOs) and irrevocable commitments and guarantees. As of March 31, 2025, all of IBRD's loans were reported at amortized cost.

IBRD uses derivatives to manage the currency risk and the interest rate risk between its loans and borrowings. For details regarding derivatives used in the loan portfolio, see Note F—Derivative Instruments.

IBRD excludes the interest receivable balance from the amortized cost basis and from the related disclosures. Accrued interest receivable on loans of \$3,729 million as of March 31, 2025 (\$3,706 million—June 30, 2024) is included in Other assets on the Condensed Balance Sheets.

As of March 31, 2025, 0.5% of IBRD's loans were in nonaccrual status and related to two borrowers (Table D2 - Loans in nonaccrual status). The total accumulated provision for losses on loans in accrual status and nonaccrual status accounted for 0.9% of the total loan portfolio. Based on IBRD's internal credit quality indicators, the majority of loans outstanding are in the Medium-risk and High-risk classes.

### **Credit Quality of Sovereign Exposures**

Based on an evaluation of IBRD's exposures, management has determined that IBRD has one portfolio segment – Sovereign Exposures. IBRD's loans constitute the majority of the Sovereign Exposures portfolio segment.

IBRD's country risk ratings are an assessment of its borrowers' ability and willingness to repay IBRD on time and in full. These ratings are internal credit quality indicators. Individual country risk ratings are derived on the basis of both quantitative and qualitative analysis. The components considered in the analysis can be grouped broadly into eight categories: political risks; external debt and liquidity; fiscal policy and public debt burden; balance of payments risks; economic structure and growth prospects; monetary and exchange rate policy; financial sector risks; and corporate sector debt and vulnerabilities. The analysis also takes into account Environmental, Social, and Governance (ESG) factors. For the purpose of analyzing the risk characteristics of IBRD's exposures, these exposures are grouped into three classes in accordance with assigned borrower risk ratings, which relate to the likelihood of loss: Low, Medium and High-risk classes, as well as exposures in nonaccrual status.

IBRD's borrowers' country risk ratings are key determinants in the provision for losses. Country risk ratings are grouped into pools of borrowers with similar credit ratings for the calculation of the expected credit losses. Exposure for certain countries in accrual status may be individually assessed on the basis that they do not share common risk characteristics with an existing pool of exposures. All exposures for countries in nonaccrual status are individually assessed. Country risk ratings are determined in review meetings that take place several times a year. All countries are reviewed at least once a year, or more frequently, if circumstances warrant, to determine the appropriate ratings.

An assessment was also performed to determine whether a qualitative adjustment of the loan loss provision was needed as of March 31, 2025, including consideration of global and macroeconomic events. Management concluded that a qualitative adjustment beyond the regular application of IBRD's loan loss provision framework was not warranted.

### **Overdue Amounts**

IBRD considers loans to be past due when a borrower fails to make payment on any principal, interest or other charges due to IBRD on the dates provided in the contractual loan agreement.

As of March 31, 2025, \$3 million principal and \$2 million interest were overdue by more than three months for loans in accrual status.

The following tables provide an aging analysis of the loans outstanding:

**Table D1: Loan portfolio aging structure**

*In millions of U.S. dollars*

| Days past due              | March 31, 2025 |       |       |        |          |        | Total Past Due | Current    | Total    |
|----------------------------|----------------|-------|-------|--------|----------|--------|----------------|------------|----------|
|                            | Up to 45       | 46-60 | 61-90 | 91-180 | Over 180 |        |                |            |          |
| Risk Class                 |                |       |       |        |          |        |                |            |          |
| Low                        | \$ –           | \$ –  | \$ –  | \$ –   | \$ –     | \$ –   | \$ –           | \$ 6,813   | \$ 6,813 |
| Medium                     | –              | –     | –     | –      | –        | –      | –              | 128,434    | 128,434  |
| High                       | 10             | –     | –     | 3      | –        | 13     | 138,895        | 138,908    |          |
| Loans in accrual status    | 10             | –     | –     | 3      | –        | 13     | 274,142        | 274,155    |          |
| Loans in nonaccrual status | 22             | –     | –     | 41     | 748      | 811    | 601            | 1,412      |          |
| Total                      | \$ 32          | \$ –  | \$ –  | \$ 44  | \$ 748   | \$ 824 | \$ 274,743     | \$ 275,567 |          |

**Table D1.1**

*In millions of U.S. dollars*

| Days past due              | June 30, 2024 |       |       |        |          |        | Total Past Due | Current    | Total |
|----------------------------|---------------|-------|-------|--------|----------|--------|----------------|------------|-------|
|                            | Up to 45      | 46-60 | 61-90 | 91-180 | Over 180 |        |                |            |       |
| Risk Class                 |               |       |       |        |          |        |                |            |       |
| Low                        | \$ –          | \$ –  | \$ –  | \$ –   | \$ –     | \$ –   | \$ 6,935       | \$ 6,935   |       |
| Medium                     | –             | –     | –     | –      | –        | –      | 124,106        | 124,106    |       |
| High                       | 5             | 9     | 2     | –      | –        | 16     | 130,723        | 130,739    |       |
| Loans in accrual status    | 5             | 9     | 2     | –      | –        | 16     | 261,764        | 261,780    |       |
| Loans in nonaccrual status | –             | 1     | 40    | 24     | 661      | 726    | 684            | 1,410      |       |
| Total                      | \$ 5          | \$ 10 | \$ 42 | \$ 24  | \$ 661   | \$ 742 | \$ 262,448     | \$ 263,190 |       |

The following tables provide a summary of selected financial information related to loans in nonaccrual status:

**Table D2: Loans in nonaccrual status**

*In millions of U.S. dollars*

| Borrower               | Nonaccrual since | Recorded investment | Accumulated Provision for loan losses | Average recorded investment | Overdue amounts |                      |
|------------------------|------------------|---------------------|---------------------------------------|-----------------------------|-----------------|----------------------|
|                        |                  |                     |                                       |                             | Principal       | Interest and Charges |
| Belarus                | October 2022     | \$ 987              | \$ 102                                | \$ 984                      | \$ 386          | \$ 119               |
| Zimbabwe               | October 2000     | 425                 | 213                                   | 426                         | 425             | 710                  |
| Total - March 31, 2025 |                  | \$ 1,412            | \$ 315                                | \$ 1,410                    | \$ 811          | \$ 829               |
| Total - June 30, 2024  |                  | \$ 1,410            | \$ 324                                | \$ 1,418                    | \$ 726          | \$ 767               |

During the three and nine months ended March 31, 2025, no new loans were placed in nonaccrual status or restored to accrual status.

During the three and nine months ended March 31, 2025, interest and other revenue not recognized as a result of loans being in nonaccrual status was \$18 million and \$59 million, respectively (\$21 million and \$60 million—three and nine months ended March 31, 2024).

In addition, during the three and nine months ended March 31, 2025, no interest income was recognized on loans in nonaccrual status (nil and \$2 million —three and nine months ended March 31, 2024). Loan income from countries in nonaccrual status is recognized upon receipt of payment.

During the three and nine months ended March 31, 2025, there were no Catastrophe Deferred Drawdown Options (CAT DDOs) converted to term loans (Nil and \$500 million—three and nine months ended March 31, 2024)

IBRD considers the signature date of a loan agreement as the best indicator of the decision point in the origination process, rather than the disbursement date. The tables below disclose the outstanding balances of IBRD's loan portfolio, classified by the year the loan agreement was signed.

**Table D3: Loan portfolio vintage disclosure**

*In millions of U.S. dollars*

| March 31, 2025             |                 |                 |                 |                 |                 |                  |                                              |                                              |                                                    |
|----------------------------|-----------------|-----------------|-----------------|-----------------|-----------------|------------------|----------------------------------------------|----------------------------------------------|----------------------------------------------------|
| Fiscal Year of Origination |                 |                 |                 |                 |                 |                  |                                              |                                              |                                                    |
|                            | 2025            | 2024            | 2023            | 2022            | 2021            | Prior<br>Years   | CAT<br>DDOs<br>Disbursed<br>and<br>Revolving | CAT<br>DDOs<br>Converted<br>to Term<br>Loans | Loans<br>outstanding<br>as of<br>March 31,<br>2025 |
| Risk Class                 |                 |                 |                 |                 |                 |                  |                                              |                                              |                                                    |
| Low                        | \$ 14           | \$ 287          | \$ —            | \$ 250          | \$ —            | \$ 6,262         | \$ —                                         | \$ —                                         | \$ 6,813                                           |
| Medium                     | 6,155           | 8,262           | 8,785           | 7,266           | 10,449          | 84,578           | 623                                          | 2,316                                        | 128,434                                            |
| High                       | 6,511           | 14,041          | 8,020           | 12,469          | 10,694          | 86,281           | 1                                            | 891                                          | 138,908                                            |
| Loans in accrual status    | 12,680          | 22,590          | 16,805          | 19,985          | 21,143          | 177,121          | 624                                          | 3,207                                        | 274,155                                            |
| Loans in nonaccrual status | —               | —               | —               | —               | —               | 1,412            | —                                            | —                                            | 1,412                                              |
| Total                      | <u>\$12,680</u> | <u>\$22,590</u> | <u>\$16,805</u> | <u>\$19,985</u> | <u>\$21,143</u> | <u>\$178,533</u> | <u>\$ 624</u>                                | <u>\$ 3,207</u>                              | <u>\$ 275,567</u>                                  |

**Table D3.1**

*In millions of U.S. dollars*

| June 30, 2024              |                 |                 |                 |                 |                 |                  |                                              |                                              |                                                   |
|----------------------------|-----------------|-----------------|-----------------|-----------------|-----------------|------------------|----------------------------------------------|----------------------------------------------|---------------------------------------------------|
| Fiscal Year of Origination |                 |                 |                 |                 |                 |                  | CAT<br>DDOs<br>Disbursed<br>and<br>Revolving | CAT<br>DDOs<br>Converted<br>to Term<br>Loans | Loans<br>outstanding<br>as of<br>June 30,<br>2024 |
| 2024                       | 2023            | 2022            | 2021            | 2020            | Prior<br>Years  |                  |                                              |                                              |                                                   |
| Risk Class                 |                 |                 |                 |                 |                 |                  |                                              |                                              |                                                   |
| Low                        | \$ 150          | \$ –            | \$ 250          | \$ –            | \$ –            | \$ 6,535         | \$ –                                         | \$ –                                         | \$ 6,935                                          |
| Medium                     | 7,885           | 8,445           | 6,893           | 10,126          | 8,421           | 79,700           | 302                                          | 2,334                                        | 124,106                                           |
| High                       | 11,645          | 7,402           | 11,897          | 9,951           | 8,486           | 80,454           | 1                                            | 903                                          | 130,739                                           |
| Loans in accrual status    | 19,680          | 15,847          | 19,040          | 20,077          | 16,907          | 166,689          | 303                                          | 3,237                                        | 261,780                                           |
| Loans in nonaccrual status | –               | –               | –               | –               | 115             | 1,295            | –                                            | –                                            | 1,410                                             |
| Total                      | <u>\$19,680</u> | <u>\$15,847</u> | <u>\$19,040</u> | <u>\$20,077</u> | <u>\$17,022</u> | <u>\$167,984</u> | <u>\$ 303</u>                                | <u>\$ 3,237</u>                              | <u>\$ 263,190</u>                                 |

### Accumulated Provision for Losses on Loans and Other Exposures

Management determines the appropriate level of accumulated provision for losses, which reflects the expected losses inherent in IBRD's exposures.

Delays in receiving loan payments result in economic losses to IBRD since it does not charge additional interest on any overdue interest or loan charges. These economic losses are estimated as the difference between the present value of payments of interest and charges made according to the related loan's contractual terms and the present value of its expected future cash flows. It is IBRD's practice not to write off its loans. Historically, all contractual obligations associated with exposures in nonaccrual status were eventually cleared, thereby allowing borrowers to emerge from nonaccrual status. To date, no loans have been written off by IBRD.

Management reassesses the adequacy of the accumulated provision on a quarterly basis and adjustments to the accumulated provision are recorded as a charge to or release of provision in the Condensed Statements of Income.

Changes to the accumulated provision for losses on loans and other exposures are summarized below:

**Table D4: Accumulated provision**

*In millions of U.S. dollars*

|                                                            | March 31, 2025    |                  |                    |                 |
|------------------------------------------------------------|-------------------|------------------|--------------------|-----------------|
|                                                            | Loans outstanding | Loan commitments | Other <sup>a</sup> | Total           |
| <b>Accumulated provision, beginning of the fiscal year</b> | \$ 2,360          | \$ 514           | \$ 92              | \$ 2,966        |
| Provision, net - charge (release)                          | 15                | (3)              | —                  | 12              |
| Translation adjustment                                     | 10                | 3                | 1                  | 14              |
| <b>Accumulated provision, end of the period</b>            | <b>\$ 2,385</b>   | <b>\$ 514</b>    | <b>\$ 93</b>       | <b>\$ 2,992</b> |
| <b>Composed of accumulated provision for losses on:</b>    |                   |                  |                    |                 |
| Loans in accrual status                                    | \$ 2,070          |                  |                    |                 |
| Loans in nonaccrual status                                 | 315               |                  |                    |                 |
| <b>Total</b>                                               | <b>\$ 2,385</b>   |                  |                    |                 |
| <b>Loans, end of the period:</b>                           |                   |                  |                    |                 |
| Loans in accrual status                                    | \$ 274,155        |                  |                    |                 |
| Loans in nonaccrual status                                 | 1,412             |                  |                    |                 |
| <b>Total loans outstanding</b>                             | <b>\$ 275,567</b> |                  |                    |                 |

**Table D4.1:**

*In millions of U.S. dollars*

|                                                            | June 30, 2024     |                  |                    |                 |
|------------------------------------------------------------|-------------------|------------------|--------------------|-----------------|
|                                                            | Loans outstanding | Loan commitments | Other <sup>a</sup> | Total           |
| <b>Accumulated provision, beginning of the fiscal year</b> | \$ 2,336          | \$ 452           | \$ 90              | \$ 2,878        |
| Provision, net - charge                                    | 29                | 64               | 1                  | 94              |
| Translation adjustment                                     | (5)               | (2)              | 1                  | (6)             |
| <b>Accumulated provision, end of the fiscal year</b>       | <b>\$ 2,360</b>   | <b>\$ 514</b>    | <b>\$ 92</b>       | <b>\$ 2,966</b> |
| <b>Composed of accumulated provision for losses on:</b>    |                   |                  |                    |                 |
| Loans in accrual status                                    | \$ 2,036          |                  |                    |                 |
| Loans in nonaccrual status                                 | 324               |                  |                    |                 |
| <b>Total</b>                                               | <b>\$ 2,360</b>   |                  |                    |                 |
| <b>Loans, end of the fiscal year:</b>                      |                   |                  |                    |                 |
| Loans in accrual status                                    | \$ 261,780        |                  |                    |                 |
| Loans in nonaccrual status                                 | 1,410             |                  |                    |                 |
| <b>Total loans outstanding</b>                             | <b>\$ 263,190</b> |                  |                    |                 |

a. Primarily relates to guarantees and does not include recoverable assets relating to certain guarantees received (including guarantees received under the Exposure Exchange Agreements) or the benefit of credit enhancements that are derivatives. For more details, see Guarantees section.

|                                      | Reported as:                          |                                                   |
|--------------------------------------|---------------------------------------|---------------------------------------------------|
|                                      | Condensed Balance Sheets              | Condensed Statements of Income                    |
| Accumulated Provision for Losses on: |                                       |                                                   |
| Loans outstanding                    | Accumulated provision for loan losses | Provision for losses on loans and other exposures |
| Loan commitments and other exposures | Other liabilities                     | Provision for losses on loans and other exposures |

The accumulated provision for losses on loan and other exposures as of March 31, 2025 was \$2,992 million, compared to \$2,966 million as of June 30, 2024. The increase of \$26 million in the accumulated provision for losses on loan and other exposures is primarily driven by the increase in exposure and foreign currency translation losses, partially offset by a decrease in severity.

## Guarantees

### *Guarantees provided*

Guarantees of \$7,402 million were outstanding as of March 31, 2025 (\$7,168 million—June 30, 2024), including guarantees provided under the Exposure Exchange Agreements (EEA). These amounts represent the maximum potential amount of undiscounted future payments that IBRD could be required to make under these guarantees and are not included in the Condensed Balance Sheets. These guarantees have original maturities ranging between 10 and 23 years and expire in decreasing amounts through 2047.

As of March 31, 2025, liabilities related to IBRD's obligations under guarantees included the obligation to stand ready of \$291 million (\$296 million—June 30, 2024), and the accumulated provision for guarantee losses of \$70 million (\$71 million—June 30, 2024). These amounts are included in Other liabilities on the Condensed Balance Sheets.

During the nine months ended March 31, 2025 and March 31, 2024, no guarantees provided by IBRD were called.

IBRD participates in EEAs, which are recognized as financial guarantees in the financial statements. Information on the location and amounts associated with the EEAs executed with the African Development Bank and Inter-American Development Bank included in the Condensed Balance Sheets and Condensed Statements of Income is presented in the following table:

**Table D5: Amounts associated with EEAs**

*In millions of U.S. dollars*

|                     | March 31, 2025     |                                      |                                     | June 30, 2024      |                                      |                                     | Location on<br>the<br>Condensed<br>Balance<br>Sheets |
|---------------------|--------------------|--------------------------------------|-------------------------------------|--------------------|--------------------------------------|-------------------------------------|------------------------------------------------------|
|                     | Notional<br>amount | (Stand ready<br>obligation)<br>Asset | (Provision)<br>Recoverable<br>asset | Notional<br>amount | (Stand ready<br>obligation)<br>Asset | (Provision)<br>Recoverable<br>asset |                                                      |
| Guarantees provided | \$ 3,609           | \$ (114)                             | \$ (21)                             | \$ 3,609           | \$ (129)                             | \$ (25)                             | Other liabilities                                    |
| Guarantees received | (3,609)            | 114                                  | 16                                  | (3,611)            | 129                                  | 19                                  | Other assets                                         |
|                     | <u>\$ —</u>        | <u>\$ —</u>                          | <u>\$ (5)</u>                       | <u>\$ (2)</u>      | <u>\$ —</u>                          | <u>\$ (6)</u>                       |                                                      |

### *Guarantees received*

As of March 31, 2025, IBRD had received third-party financial guarantees, including guarantees received under the EEA. The outstanding amount of loans subject to guarantees received was \$14,665 million (\$12,461 million as of June 30, 2024). In addition, during the nine months ended March 31, 2025, IBRD received a notional value of \$1.1 billion of portfolio guarantees under its new Portfolio Guarantee Platform (PGP). Financial guarantees received protect IBRD against the risk of loss related to loans in IBRD's portfolio and increase IBRD's lending capacity.

## Waivers of Loan Charges

The Executive Directors have approved waivers of certain charges on eligible loans. These include a portion of interest on loans, a portion of the commitment charge on undisbursed balances, and a portion of the front-end fee. In addition, in October 2024, as part of the adjustments to IBRD's loan pricing, the Executive Directors approved the waiver of future prepayment premiums on existing loans, as applicable. The forgone income resulting from these waivers was \$2 million and \$5 million for three and nine months ended March 31, 2025, respectively (\$2 million and \$7 million—three and nine months ended March 31, 2024).

## Concentration risk

Loan revenue comprises interest, commitment fees, loan origination fees and prepayment premiums, net of waivers. For the nine months ended March 31, 2025, loan revenue of \$1,099 million from India, contributed more than 10% to the total loan revenue.

IBRD's loan revenue and associated loans outstanding by geographic region is presented in the following table:

**Table D6: Loan revenue and associated outstanding loan balances by geographic region**

| Region                          | For the nine months ended and as of |                   |                           |                   |
|---------------------------------|-------------------------------------|-------------------|---------------------------|-------------------|
|                                 | March 31, 2025                      |                   | March 31, 2024            |                   |
|                                 | Loan Revenue <sup>a</sup>           | Loans Outstanding | Loan Revenue <sup>a</sup> | Loans Outstanding |
| Latin America and the Caribbean | \$ 3,403                            | \$ 83,601         | \$ 3,471                  | \$ 79,886         |
| East Asia and Pacific           | 2,253                               | 53,309            | 2,351                     | 53,167            |
| Europe and Central Asia         | 2,123                               | 59,772            | 2,018                     | 54,729            |
| Middle East and North Africa    | 1,380                               | 36,216            | 1,383                     | 34,351            |
| South Asia                      | 1,268                               | 28,169            | 1,213                     | 26,047            |
| Eastern and Southern Africa     | 469                                 | 11,633            | 377                       | 9,761             |
| Western and Central Africa      | 77                                  | 2,867             | 56                        | 2,043             |
| Total                           | <u>\$ 10,973</u>                    | <u>\$ 275,567</u> | <u>\$ 10,869</u>          | <u>\$ 259,984</u> |

a. Excludes \$821 million interest income from loan related derivatives for the nine months ended March 31, 2025 (\$932 million—nine months ended March 31, 2024). Includes commitment charges of \$116 million for the nine months ended March 31, 2025 (\$111 million—nine months ended March 31, 2024).

For the nine months ended March 31, 2025, Interest revenue—Loans, net in the Condensed Statements of Income was \$11,678 million (\$11,690 million—nine months ended March 31, 2024). This includes \$821 million of interest income, net related to loan related derivatives associated with the Loan portfolio (interest income, net of \$932 million—nine months ended March 31, 2024).

## NOTE E—BORROWINGS

IBRD issues unsubordinated and unsecured fixed and variable rate debt in a variety of currencies in capital markets. These borrowings are reported at fair value. IBRD has issued hybrid capital to shareholders that is subordinated to borrowings at fair value, and is reported at amortized cost. Variable rates are primarily based on exchange rates or market interest rates.

As of March 31, 2025, 98% of the instruments at fair value were classified as Level 2 within the fair value hierarchy. In addition, most of these instruments were denominated in U.S. dollars and euro (64% and 15%, respectively).

IBRD uses derivatives, reported at fair value, to manage the currency risk and the interest rate risk between its loans and borrowings. For details regarding the derivatives used, see Note F—Derivative Instruments.

A summary of IBRD's borrowings at fair value, is as follows (for details on principal due upon maturity, see Note J—Fair Value Disclosures):

**Table E1: Borrowings and borrowing-related derivatives, at fair value**

|                          | In millions of U.S. dollars |                   |
|--------------------------|-----------------------------|-------------------|
|                          | March 31, 2025              | June 30, 2024     |
| Borrowings               | \$ 295,851                  | \$ 261,790        |
| Currency swaps, net      | 6,899                       | 7,427             |
| Interest rate swaps, net | 13,159                      | 17,900            |
| Total                    | <u>\$ 315,909</u>           | <u>\$ 287,117</u> |

As of March 31, 2025, borrowings reported at amortized cost were \$476 million related to IBRD's issuances of hybrid capital which represents the outstanding principal of these instruments. The majority of holders of hybrid capital as of March 31, 2025, entered into separate agreements with IBRD that allow them to redeem the hybrid capital to satisfy the payment condition for their paid-in portion of any future capital increase.

For the nine months ended March 31, 2025, Borrowing expenses, net in the Condensed Statements of Income were \$11,337 million (\$11,252 million—nine months ended March 31, 2024). This includes \$5,193 million of interest expense, net related to derivatives associated with the Borrowing portfolio (interest expense, net of \$5,702 million—nine months ended March 31, 2024).

## NOTE F—DERIVATIVE INSTRUMENTS

IBRD uses derivative instruments in its investment, loan and borrowing portfolios, and for asset/liability management purposes. It also offers derivative intermediation services to clients and, concurrently, enters into offsetting transactions with market counterparties.

The following table summarizes IBRD's use of derivatives in its various financial portfolios:

| <b>Portfolio</b>                             | <b><i>Derivative instruments used</i></b>                                                                                          | <b><i>Purpose / Risk being managed</i></b>                               |
|----------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------|
| <b>Risk management purposes:</b>             |                                                                                                                                    |                                                                          |
| Investments                                  | Currency swaps, forward contracts, interest rate swaps, options, swaptions and futures contracts, to-be-announced (TBA) securities | Manage currency and interest rate risk                                   |
| Loans                                        | Currency swaps and interest rate swaps                                                                                             | Manage currency risk and interest rate risk between loans and borrowings |
| Borrowings                                   | Currency swaps and interest rate swaps                                                                                             | Manage currency risk and interest rate risk between loans and borrowings |
| Other asset/liability management derivatives | Currency swaps and interest rate swaps                                                                                             | Manage currency risk and the duration of IBRD's equity                   |
| <b>Other purposes:</b>                       |                                                                                                                                    |                                                                          |
| Client operations                            | Currency swaps, currency forward contracts, and interest rate swaps                                                                | Assist clients in managing risks                                         |

The derivatives in the related tables of Note F are presented on a net basis by instrument. A reconciliation to the presentation in the Condensed Balance Sheets is shown in table F1.

### Offsetting assets and liabilities

IBRD enters into International Swaps and Derivatives Association, Inc. (ISDA) master netting agreements with substantially all of its derivative counterparties. These legally enforceable master netting agreements give IBRD the right to liquidate securities held as collateral and to offset receivables and payables with the same counterparty in the event of default by the counterparty.

The following tables summarize the gross and net derivative positions by instrument type. Instruments that are in a net asset position are included in the Derivative Assets columns and instruments that are in a net liability position are included in the Derivative Liabilities columns. The effects of the ISDA master netting agreements are applied on an aggregate basis to the total derivative asset and liability positions and are presented net of any cash collateral received on the Condensed Balance Sheets. The net derivative asset positions in the tables below have been further reduced by any securities received as collateral to show IBRD's net exposure on its derivative asset positions.



**Table F1: Derivative assets and liabilities before and after netting adjustments***In millions of U.S. dollars*

|                                                                  | March 31, 2025      |                        | June 30, 2024       |                        |
|------------------------------------------------------------------|---------------------|------------------------|---------------------|------------------------|
|                                                                  | Derivative Assets   | Derivative Liabilities | Derivative Assets   | Derivative Liabilities |
| Interest rate swaps                                              | \$ 7,206            | \$ 18,463              | \$ 7,977            | \$ 24,759              |
| Currency swaps <sup>a</sup>                                      | 4,056               | 9,875                  | 4,057               | 9,907                  |
| Other <sup>b</sup>                                               | 3                   | —                      | 1                   | —                      |
| <b>Gross Total</b>                                               | <b>\$ 11,265</b>    | <b>\$ 28,338</b>       | <b>\$ 12,035</b>    | <b>\$ 34,666</b>       |
| Less:                                                            |                     |                        |                     |                        |
| Amounts subject to legally enforceable master netting agreements | 10,810 <sup>d</sup> | 11,165 <sup>e</sup>    | 11,558 <sup>d</sup> | 11,938 <sup>e</sup>    |
| Cash collateral received <sup>c</sup>                            | —                   | —                      | 21                  | —                      |
| <b>Net derivative position on the Condensed Balance Sheet</b>    | <b>\$ 455</b>       | <b>\$ 17,173</b>       | <b>\$ 456</b>       | <b>\$ 22,728</b>       |
| Less:                                                            |                     |                        |                     |                        |
| Securities collateral received <sup>c</sup>                      | 315                 | —                      | 298                 | —                      |
| <b>Net derivative exposure after collateral</b>                  | <b>\$ 140</b>       | <b>\$ —</b>            | <b>\$ 158</b>       | <b>\$ —</b>            |

*a. Includes forward contracts.**b. Relate to swaptions, options and futures contracts.**c. Does not include excess collateral received.**d. Includes \$33 million Credit Valuation Adjustment (CVA) (\$29 million—June 30, 2024).**e. Includes \$388 million Debit Valuation Adjustment (DVA) (\$409 million—June 30, 2024).*

The following tables provide information about the credit risk exposures at fair value of IBRD's derivative instruments by portfolio, before the effects of master netting arrangements and collateral:

**Table F2: Credit risk exposure of the derivative instruments <sup>a</sup>***In millions of U.S. dollars*

| Portfolio                                    | March 31, 2025      |                                              |                  |
|----------------------------------------------|---------------------|----------------------------------------------|------------------|
|                                              | Interest rate swaps | Currency swaps (including forward contracts) | Total            |
| Investments                                  | \$ 69               | \$ 743                                       | \$ 812           |
| Loans                                        | 5,110               | 1,285                                        | 6,395            |
| Client operations                            | 114                 | 371                                          | 485              |
| Borrowings                                   | 1,626               | 1,657                                        | 3,283            |
| Other asset/liability management derivatives | 287                 | —                                            | 287              |
| <b>Total Exposure</b>                        | <b>\$ 7,206</b>     | <b>\$ 4,056</b>                              | <b>\$ 11,262</b> |

**Table F2.1***In millions of U.S. dollars*

| Portfolio                                    | June 30, 2024       |                                              |                  |
|----------------------------------------------|---------------------|----------------------------------------------|------------------|
|                                              | Interest rate swaps | Currency swaps (including forward contracts) | Total            |
| Investments                                  | \$ 14               | \$ 812                                       | \$ 826           |
| Loans                                        | 5,893               | 1,314                                        | 7,207            |
| Client operations                            | 274                 | 424                                          | 698              |
| Borrowings                                   | 1,555               | 1,507                                        | 3,062            |
| Other asset/liability management derivatives | 241                 | —                                            | 241              |
| <b>Total Exposure</b>                        | <b>\$ 7,977</b>     | <b>\$ 4,057</b>                              | <b>\$ 12,034</b> |

*a. Excludes exchange traded instruments as they are generally subject to daily margin requirements and are deemed to have no material credit risk.*

The volume of derivative contracts is measured using the U.S. dollar equivalent notional balance. The notional balance represents the face value or reference value on which the calculations of payments on the derivative instruments are determined. As of March 31, 2025, the notional amounts of IBRD's derivative contracts outstanding

were as follows: interest rate swaps \$438,359 million (\$436,783 million—June 30, 2024), currency swaps \$136,197 million (\$120,483 million—June 30, 2024), long positions of other derivatives \$342 million (\$280 million—June 30, 2024), and short positions of other derivatives \$165 million (\$201 million—June 30, 2024).

IBRD is not required to post collateral under its derivative agreements as long as it maintains a triple-A credit rating. The aggregate fair value of all derivative instruments with credit-risk related contingent features that were in a liability position as of March 31, 2025 was \$17,447 million (\$22,858 million—June 30, 2024). IBRD has not posted any collateral with these counterparties due to its triple-A credit rating.

If the credit risk related contingent features underlying these agreements were triggered to the extent that IBRD would be required to post collateral as of March 31, 2025, the amount of collateral that would need to be posted would be \$13,249 million (\$18,593 million—June 30, 2024). Subsequent triggers of contingent features would require posting of additional collateral, up to a maximum of \$17,447 million (\$22,858 million—June 30, 2024). IBRD received collateral totaling \$348 million as of March 31, 2025 (\$343 million—June 30, 2024), in relation to swap transactions (Note C—Investments).

The following table provides information on the unrealized mark-to-market gains and losses on the non-trading derivatives and their location on the Condensed Statements of Income:

**Table F3: Unrealized mark-to-market gains or losses on non-trading derivatives**

*In millions of U.S. dollars*

| Type of instrument <sup>a</sup>                                      | Reported as:                                                               | Three Months Ended<br>March 31, |                   | Nine Months Ended<br>March 31, |                 |
|----------------------------------------------------------------------|----------------------------------------------------------------------------|---------------------------------|-------------------|--------------------------------|-----------------|
|                                                                      |                                                                            | 2025                            | 2024              | 2025                           | 2024            |
| Interest rate swaps                                                  | Unrealized mark-to-market (losses) gains<br>on non-trading portfolios, net | \$ 1,453                        | \$ (1,130)        | \$ 4,644                       | \$ 3,381        |
| Currency swaps (including forward<br>contracts and structured swaps) |                                                                            | 336                             | (532)             | 1,138                          | 1,266           |
| <b>Total</b>                                                         |                                                                            | <u>\$ 1,789</u>                 | <u>\$ (1,662)</u> | <u>\$ 5,782</u>                | <u>\$ 4,647</u> |

*a. For disclosures related to derivatives in trading portfolio, see Table F4.*

All of the instruments in IBRD's investment portfolio are held for trading purposes. Within the investment portfolio, IBRD holds highly rated fixed income securities, equity securities and derivatives. The trading portfolio is primarily held to ensure the availability of funds to meet future cash flow requirements and for liquidity management purposes.

The following table provides information on the amount of unrealized mark-to-market gains and losses on the net Investment–Trading portfolio and their location on the Condensed Statements of Income:

**Table F4: Unrealized mark-to-market gains or losses on net investment-trading portfolio**

*In millions of U.S. dollars*

| Type of instrument <sup>a</sup>                   | Reported as:                                                                      | Three Months Ended<br>March 31, |              | Nine Months Ended<br>March 31, |              |
|---------------------------------------------------|-----------------------------------------------------------------------------------|---------------------------------|--------------|--------------------------------|--------------|
|                                                   |                                                                                   | 2025                            | 2024         | 2025                           | 2024         |
| Fixed income                                      | Unrealized mark-to-market (losses) gains<br>on Investments-Trading portfolio, net | \$ (18)                         | \$ 16        | \$ (88)                        | \$ 10        |
| Equity and other fund<br>investments <sup>b</sup> |                                                                                   | (6)                             | 40           | 21                             | 72           |
| <b>Total</b>                                      |                                                                                   | <u>\$ (24)</u>                  | <u>\$ 56</u> | <u>\$ (67)</u>                 | <u>\$ 82</u> |

*a. Amounts associated with each type of instrument include gains and losses on both derivative instruments and investment securities.*

*b. Related to PEBP holdings and investments related to LPF1 and GFPP.*

## NOTE G—RETAINED EARNINGS, ALLOCATIONS AND TRANSFERS

IBRD makes net income allocation decisions on the basis of reported net income, adjusted to exclude unrealized mark-to-market gains and losses on the non-trading portfolios, net; restricted income; Board of Governors-approved and other transfers; non-functional currency translation adjustments; and the allocation to the pension reserve.

On August 6, 2024, IBRD's Executive Directors approved the following allocations relating to the net income earned in the fiscal year ended June 30, 2024: an increase in the General Reserve of \$834 million and an increase in the Pension Reserve by \$306 million.

On September 9, 2024, IBRD's Board of Governors approved contributions from Surplus of \$100 million to the Trust Fund for Gaza and the West Bank. This amount was paid on September 16, 2024. On September 18, 2024, IBRD's Board of Governors approved an additional transfer of \$200 million from Surplus to the Trust Fund for Gaza and the West Bank. This amount was paid on September 30, 2024. Contributions to the Trust Fund for Gaza and West Bank are recorded in Board of Governors-approved and other transfers on the Condensed Statements of Income.

On September 18, 2024, IBRD's Board of Governors approved a transfer of \$515 million to the International Development Association (IDA) and a transfer of \$500 million to Surplus out of the net income earned in the fiscal year ended June 30, 2024. The transfer to IDA was made on September 30, 2024, and is recorded in Board of Governors-approved and other transfers on the Condensed Statements of Income.

On September 18, 2024, IBRD's Board of Governors approved a transfer within retained earnings of \$200 million from Surplus to the IBRD Surplus-Funded Livable Planet Fund (LPF1). On January 17, 2025, IBRD's Board of Governors approved a transfer within retained earnings from Surplus of \$100 million to the Grant Facility for Project Preparation (GFPP).

The portion of LPF1 and the GFPP contributions, not expensed yet, are included in Retained Earnings on the Condensed Balance Sheet (\$419 million —March 31, 2025 and \$101 million —June 30, 2024). For the nine months ended March 31, 2025, no contribution expenses were recognized on the Condensed Statements of Income.

Retained earnings is comprised of the following components:

**Table G1: Retained earnings composition**

*In millions of U.S. dollars*

|                                                | <i>March 31, 2025</i> | <i>June 30, 2024</i> |
|------------------------------------------------|-----------------------|----------------------|
| Special reserve                                | \$ 293                | \$ 293               |
| General reserve                                | 34,058                | 33,224               |
| Pension reserve                                | 987                   | 681                  |
| Surplus                                        | —                     | 100                  |
| Cumulative fair value adjustments <sup>a</sup> | 1,390                 | 1,103                |
| Unallocated net income                         | 2,051                 | 2,513                |
| Restricted retained earnings                   | 11                    | 11                   |
| Other reserves <sup>b</sup>                    | 729                   | 358                  |
| Total                                          | <u>\$ 39,519</u>      | <u>\$ 38,283</u>     |

*a. Unrealized mark-to-market gains (losses), net related to non-trading portfolios reported at fair value.*

*b. Comprised of non-functional currency translation gains/losses, the portion of the cumulative transfers to the LPF1 and the GFPP not expensed yet, and revenue from prior years which is set aside for a dedicated purpose.*

## NOTE H—TRANSACTIONS WITH AFFILIATED ORGANIZATIONS

IBRD transacts with affiliated organizations by providing loans, administrative, derivative and investment intermediation services, and through its pension and other postretirement benefit plans.

In addition, IBRD provides transfers to IDA out of its net income, upon approval by the Board of Governors (see Note G—Retained Earnings, Allocations and Transfers).

IBRD had the following receivables from (payables to) its affiliated organizations:

**Table H1: IBRD's receivables and payables with affiliated organizations**

*In millions of U.S. dollars*

|                                           | March 31, 2025    |                   |                |                   | June 30, 2024     |                   |                |                   |
|-------------------------------------------|-------------------|-------------------|----------------|-------------------|-------------------|-------------------|----------------|-------------------|
|                                           | IDA               | IFC               | MIGA           | Total             | IDA               | IFC               | MIGA           | Total             |
| Administrative services                   | \$ 563            | \$ (11)           | \$ 13          | \$ 565            | \$ 279            | \$ 1              | \$ 16          | \$ 296            |
| PCRF investments                          | (664)             | (461)             | —              | (1,125)           | (489)             | (344)             | —              | (833)             |
| Pension and other postretirement benefits | (1,002)           | (805)             | (32)           | (1,839)           | (906)             | (774)             | (30)           | (1,710)           |
| Total                                     | <u>\$ (1,103)</u> | <u>\$ (1,277)</u> | <u>\$ (19)</u> | <u>\$ (2,399)</u> | <u>\$ (1,116)</u> | <u>\$ (1,117)</u> | <u>\$ (14)</u> | <u>\$ (2,247)</u> |

The receivables from (payables to) these affiliated organizations are reported on the Condensed Balance Sheets as follows:

| Receivables / Payables related to:        | Reported as:      |
|-------------------------------------------|-------------------|
| Administrative services                   | Other assets      |
| PCRF investments                          | Other liabilities |
| Pension and other postretirement benefits | Other liabilities |

## Loans and Other Exposures

IBRD has a Local Currency Loan Facility Agreement with IFC, which is capped at \$300 million. As of March 31, 2025 and June 30, 2024, there were no loans outstanding under this facility.

## Administrative Services

### Expenses

Expenses jointly incurred by IBRD and IDA are allocated based on an agreed cost-sharing methodology, and amounts are settled quarterly. For the three and nine months ended March 31, 2025, IBRD's administrative expenses exclude the share of expenses allocated to IDA of \$465 million and \$1,420 million, respectively (\$420 million and \$1,291 million—three and nine months ended March 31, 2024).

### Revenue

Revenue jointly earned by IBRD and IDA is allocated based on an agreed revenue-sharing methodology and amounts are settled quarterly. For the three and nine months ended March 31, 2025, IBRD's other revenue excludes revenue allocated to IDA of \$74 million and \$230 million (\$86 million and \$237 million—three and nine months ended March 31, 2024), and is included in Revenue from externally funded activities in the Condensed Statements of Income. This revenue also includes revenue from contracts with clients that are not affiliated with IBRD and are as follows:

**Table H2: Revenue from contracts with clients**

*In millions of U.S. dollars*

|                                | Three Months Ended March 31, |              | Nine Months Ended March 31, |               |
|--------------------------------|------------------------------|--------------|-----------------------------|---------------|
|                                | 2025                         | 2024         | 2025                        | 2024          |
| Trust fund fees                | \$ 33                        | \$ 54        | \$ 123                      | \$ 146        |
| Reimbursable advisory services | 22                           | 23           | 57                          | 61            |
| Asset management services      | 9                            | 8            | 26                          | 24            |
| Total                          | <u>\$ 64</u>                 | <u>\$ 85</u> | <u>\$ 206</u>               | <u>\$ 231</u> |
| Of which:                      |                              |              |                             |               |
| IBRD's share                   | \$ 32                        | \$ 42        | \$ 102                      | \$ 116        |
| IDA's share                    | 32                           | 43           | 104                         | 115           |

Each revenue stream represents compensation for services provided and the related revenue is recognized over time.

When IBRD performs services, its rights to consideration are deemed unconditional and are classified as receivables. IBRD also has an obligation to provide certain services for which it has received consideration in advance. Such consideration is presented as contract liability and is subsequently recognized as revenue when the related performance obligation is satisfied.

The following table shows IBRD's receivables and contract liabilities related to revenue from contracts with clients:

**Table H3: Receivables and contract liabilities related to revenue from contracts with clients**

*In millions of U.S. dollars*

|                      | <i>March 31, 2025</i> | <i>June 30, 2024</i> |
|----------------------|-----------------------|----------------------|
| Receivables          | \$ 100                | \$ 111               |
| Contract liabilities | 169                   | 185                  |

The amount of fee revenue associated with services provided to affiliated organizations that is included in Revenue from externally funded activities in the Condensed Statements of Income, is as follows:

**Table H4: Fee revenue from affiliated organizations**

*In millions of U.S. dollars*

|                      | <i>Three Months Ended March 31,</i> |             | <i>Nine Months Ended March 31,</i> |             |
|----------------------|-------------------------------------|-------------|------------------------------------|-------------|
|                      | <i>2025</i>                         | <i>2024</i> | <i>2025</i>                        | <i>2024</i> |
| Fees charged to IFC  | \$ 25                               | \$ 25       | \$ 75                              | \$ 71       |
| Fees charged to MIGA | 2                                   | 2           | 5                                  | 5           |

## Investments

These relate to investments that IBRD has made on behalf of IFC, associated with the PCRF, and are included in Investments-Trading in IBRD's Condensed Balance Sheets. The corresponding payable to IFC is included in Other liabilities in IBRD's Condensed Balance Sheets. As a result, there is no impact on IBRD's net asset value from these transactions.

## Pension and Other Postretirement Benefits

The payable to IDA represents IDA's net share of prepaid costs for pension and other postretirement benefit plans and PEBP assets. These will be realized over the life of the pension plan participants. The payables to IFC and MIGA represent their respective share of PEBP assets.

The PEBP assets are managed by IBRD and are part of the investment portfolio. For Pension and Other Postretirement Benefits related disclosures, see Note K—Pension and Other Postretirement Benefits.

## NOTE I—ACCUMULATED OTHER COMPREHENSIVE INCOME

Comprehensive income or loss consists of net income and other gains and losses affecting equity that, under U.S. GAAP, are excluded from net income. Other comprehensive income (loss) comprises currency translation adjustments on assets and liabilities denominated in euro, DVA on Fair Value Option elected liabilities, and pension related items. These items are presented in the Condensed Statements of Comprehensive Income.

The following tables present the changes in Accumulated Other Comprehensive Income (AOCI) and Accumulated Other Comprehensive Loss (AOCL):

**Table II: AOCI/AOCL changes**

*In millions of U.S. dollars*

|                                                             | <i>Nine Months Ended March 31, 2025</i>      |                        |                                             |                                      |                                   |
|-------------------------------------------------------------|----------------------------------------------|------------------------|---------------------------------------------|--------------------------------------|-----------------------------------|
|                                                             | <i>Balance, beginning of the fiscal year</i> | <i>Changes in AOCI</i> | <i>Amounts reclassified into net income</i> | <i>Net Changes during the period</i> | <i>Balance, end of the period</i> |
| Cumulative Translation Adjustments                          | \$ (445)                                     | \$ 122                 | \$ —                                        | \$ 122                               | \$ (323)                          |
| DVA on Fair Value Option elected liabilities                | 673                                          | 1,306                  | (12)                                        | 1,294                                | 1,967                             |
| Unrecognized Net Actuarial Gains (Losses) on Benefit Plans  | 3,741                                        | —                      | (48)                                        | (48)                                 | 3,693                             |
| Unrecognized Prior Service (Costs) Credits on Benefit Plans | (15)                                         | —                      | 6                                           | 6                                    | (9)                               |
| Total AOCI                                                  | <u>\$ 3,954</u>                              | <u>\$ 1,428</u>        | <u>\$ (54)</u>                              | <u>\$ 1,374</u>                      | <u>\$ 5,328</u>                   |

**Table II.1:**

*In millions of U.S. dollars*

|                                                             | <i>Nine Months Ended March 31, 2024</i>      |                        |                                             |                                      |                                   |
|-------------------------------------------------------------|----------------------------------------------|------------------------|---------------------------------------------|--------------------------------------|-----------------------------------|
|                                                             | <i>Balance, beginning of the fiscal year</i> | <i>Changes in AOCI</i> | <i>Amounts reclassified into net income</i> | <i>Net Changes during the period</i> | <i>Balance, end of the period</i> |
| Cumulative Translation Adjustments                          | \$ (295)                                     | \$ (62)                | \$ —                                        | \$ (62)                              | \$ (357)                          |
| DVA on Fair Value Option elected liabilities                | 351                                          | 288                    | 2                                           | 290                                  | 641                               |
| Unrecognized Net Actuarial Gains (Losses) on Benefit Plans  | 3,490                                        | —                      | (51)                                        | (51)                                 | 3,439                             |
| Unrecognized Prior Service (Costs) Credits on Benefit Plans | (23)                                         | —                      | 6                                           | 6                                    | (17)                              |
| Total AOCI                                                  | <u>\$ 3,523</u>                              | <u>\$ 226</u>          | <u>\$ (43)</u>                              | <u>\$ 183</u>                        | <u>\$ 3,706</u>                   |

## NOTE J— FAIR VALUE DISCLOSURES

### Valuation Methods and Assumptions

As of March 31, 2025 and June 30, 2024, IBRD had no assets or liabilities measured at fair value on a non-recurring basis.

#### *Due from banks*

The carrying amount of unrestricted and restricted cash is considered a reasonable estimate of the fair value of these positions.

#### *Loans and Loan commitments*

There were no loans carried at fair value as of March 31, 2025 or June 30, 2024. IBRD's loans and loan commitments would be classified as Level 3 within the fair value hierarchy.

Summarized below are the techniques applied in determining the fair values of IBRD's financial instruments.

#### *Investment securities*

Investment securities are classified based on management's intention on the date of purchase, their nature, and IBRD's policies governing the level and use of such investments. As of March 31, 2025, all of the financial instruments in IBRD's investment portfolio were classified as trading. These securities are carried and reported at fair value, or at face value or NAV, which approximates fair value. Where available, quoted market prices are used to determine the fair value of trading securities. Examples include most government, agency and corporate securities, mutual funds, exchange-traded equity securities and ABS securities.

For instruments for which market quotations are not available, fair values are determined using model-based valuation techniques, whether internally generated or vendor-supplied, that include the standard discounted cash flow method using observable market inputs such as yield curves, credit spreads, and conditional prepayment rates. Where applicable, unobservable inputs such as conditional prepayment rates, probability of default and loss severity are used. Unless quoted prices are available, time deposits are reported at face value, which approximates fair value, as they are short term in nature.

#### *Securities purchased under resale agreements, Securities sold under repurchase agreements, and Securities lent under securities lending agreements*

These securities are of a short-term nature and reported at face value, which approximates fair value.

#### *Borrowings*

##### *(i) Discount notes and vanilla bonds*

Discount notes and vanilla bonds issued by IBRD are valued using the standard discounted cash flow method which relies on observable market inputs such as yield curves, foreign exchange rates, basis spreads and funding spreads. Where available, quoted market prices are used to determine the fair value of short-term notes, as well as some floating rate notes of longer maturity.

##### *(ii) Structured bonds*

Structured bonds issued by IBRD have coupon or repayment terms linked to the level or the performance of interest rates, foreign exchange rates, equity indices, catastrophic events, or commodities. The fair value of the structured bonds is generally derived using the discounted cash flow method based on estimated future pay-offs determined by applicable models and computation of embedded optionality such as caps, floors and calls. A wide range of industry standard models such as one factor Hull-White, Generalized Forward Market Model and Black-Scholes are used depending on the specific structure. These models incorporate observable market inputs, such as yield curves, foreign exchange rates, basis spreads, funding spreads, interest rate volatilities, equity index volatilities and equity indices. Where applicable, the models also incorporate significant unobservable inputs such as correlations between relevant market data and long-dated interest rate volatilities. Generally, the movements in correlations are considered to be independent of movements in long-dated interest rate volatilities.

##### *(iii) Borrowings, at amortized cost*

The fair value of borrowings measured at amortized cost would be classified as Level 3 within the fair value hierarchy.

#### *Derivative instruments*

Derivative contracts include forward contracts, TBA securities, swaptions, options and futures contracts, currency swaps and interest rate swaps. Currency swaps and interest rate swaps are either plain vanilla or structured. Forward contracts and plain vanilla currency and interest rate swaps are valued using the standard discounted cash flow methods using observable market inputs such as yield curves, foreign exchange rates, basis spreads and funding spreads. For structured currency and interest rate swaps, which primarily consist of callable swaps linked to interest rates, foreign exchange rates, and equity indices, valuation models and inputs similar to the ones applicable to the valuation of structured bonds are used. Where applicable, the models also incorporate significant unobservable inputs such as correlations and long-dated interest rate volatilities.

*Valuation adjustments on fair value option elected liabilities*

The DVA on fair value option elected liabilities (borrowings reported at fair value) is measured by revaluing each liability to determine the changes in fair value of that liability arising from changes in IBRD's funding spread applicable to the relevant reference rates.

The table below presents IBRD's estimates of fair value of its financial assets and liabilities along with their respective carrying amounts:

**Table J1: Fair value and carrying amount of financial assets and liabilities**

*In millions of U.S. dollars*

|                                                                                                                         | March 31, 2025 |            | June 30, 2024  |            |
|-------------------------------------------------------------------------------------------------------------------------|----------------|------------|----------------|------------|
|                                                                                                                         | Carrying Value | Fair Value | Carrying Value | Fair Value |
| <b>Assets</b>                                                                                                           |                |            |                |            |
| Due from banks                                                                                                          | \$ 416         | \$ 416     | \$ 490         | \$ 490     |
| Investments-Trading (including Securities purchased under resale agreements)                                            | 100,530        | 100,530    | 82,807         | 82,807     |
| Net loans outstanding                                                                                                   | 272,532        | 269,084    | 260,236        | 257,415    |
| Derivative assets, net                                                                                                  | 455            | 455        | 456            | 456        |
| Miscellaneous assets                                                                                                    | 122            | 122        | 88             | 88         |
| <b>Liabilities</b>                                                                                                      |                |            |                |            |
| Borrowings                                                                                                              |                |            |                |            |
| Borrowings, at fair value                                                                                               | \$ 295,851     | \$ 295,851 | \$ 261,790     | \$ 261,790 |
| Borrowings, at amortized cost                                                                                           | 476            | 482        | —              | —          |
| Securities sold/lent under repurchase agreements/securities lending agreements and payable for cash collateral received | 1,097          | 1,097      | 256            | 256        |
| Derivative liabilities, net                                                                                             | 17,173         | 17,173     | 22,728         | 22,728     |

As of March 31, 2025, IBRD's signed loan commitments were \$74 billion (\$67 billion—June 30, 2024) and had a fair value of \$(0.1) billion (\$0.3 billion—June 30, 2024).



The following tables present IBRD's fair value hierarchy for assets and liabilities measured at fair value on a recurring basis. The fair value of Other fund investments measured using the NAV as a practical expedient are included in the table below but excluded from the fair value hierarchy.

**Table J2: Fair value hierarchy of IBRD's assets and liabilities**

*In millions of U.S. dollars*

| <i>Fair Value Measurements on a Recurring Basis</i>                                                              |                |                |                |              |
|------------------------------------------------------------------------------------------------------------------|----------------|----------------|----------------|--------------|
| <i>March 31, 2025</i>                                                                                            |                |                |                |              |
|                                                                                                                  | <i>Level 1</i> | <i>Level 2</i> | <i>Level 3</i> | <i>Total</i> |
| <b>Assets:</b>                                                                                                   |                |                |                |              |
| Investments—Trading                                                                                              |                |                |                |              |
| Government, agency and corporate obligations                                                                     | \$ 14,698      | \$ 25,651      | \$ —           | \$ 40,349    |
| Time deposits                                                                                                    | 5,047          | 49,107         | —              | 54,154       |
| ABS                                                                                                              | —              | 3,047          | —              | 3,047        |
| Other fund investments <sup>a</sup>                                                                              | —              | 410            | —              | 2,643        |
| Equity securities                                                                                                | 322            | —              | —              | 322          |
| Total Investments—Trading                                                                                        | \$ 20,067      | \$ 78,215      | \$ —           | \$ 100,515   |
| Securities purchased under resale agreements                                                                     | \$ 15          | \$ —           | \$ —           | \$ 15        |
| Derivative assets                                                                                                |                |                |                |              |
| Currency swaps <sup>b</sup>                                                                                      | \$ —           | \$ 3,949       | \$ 107         | \$ 4,056     |
| Interest rate swaps                                                                                              | —              | 7,059          | 147            | 7,206        |
| Other <sup>c</sup>                                                                                               | 3              | —              | —              | 3            |
|                                                                                                                  | \$ 3           | \$ 11,008      | \$ 254         | \$ 11,265    |
| Less:                                                                                                            |                |                |                |              |
| Amounts subject to legally enforceable master netting agreements <sup>d</sup>                                    |                |                |                | 10,810       |
| Cash collateral received                                                                                         |                |                |                | —            |
| Derivative assets, net                                                                                           |                |                |                | \$ 455       |
| Miscellaneous assets                                                                                             | \$ —           | \$ 122         | \$ —           | \$ 122       |
| <b>Liabilities:</b>                                                                                              |                |                |                |              |
| Borrowings, at fair value                                                                                        | \$ —           | \$ 291,302     | \$ 4,549       | \$ 295,851   |
| Securities sold under repurchase agreements and securities lent under securities lending agreements <sup>e</sup> | \$ —           | \$ 1,097       | \$ —           | \$ 1,097     |
| Derivative liabilities                                                                                           |                |                |                |              |
| Currency swaps <sup>b</sup>                                                                                      | \$ —           | \$ 9,729       | \$ 146         | \$ 9,875     |
| Interest rate swaps                                                                                              | —              | 18,327         | 136            | 18,463       |
| Other <sup>c</sup>                                                                                               | —              | —              | —              | —            |
|                                                                                                                  | \$ —           | \$ 28,056      | \$ 282         | \$ 28,338    |
| Less:                                                                                                            |                |                |                |              |
| Amounts subject to legally enforceable master netting agreements <sup>f</sup>                                    |                |                |                | 11,165       |
| Derivative liabilities, net                                                                                      |                |                |                | \$ 17,173    |
| Accounts payable and miscellaneous liabilities                                                                   | \$ —           | \$ 4           | \$ —           | \$ 4         |

*a. Includes investments held by LPF1 and GFPP of \$410 million, carried at fair value, and investments in PEBP holdings of \$2,233 million carried at NAV, which are excluded from the fair value hierarchy.*

*b. Includes forward contracts.*

*c. Includes swaptions, options, and futures contracts.*

*d. Includes \$33 million CVA.*

*e. Excludes payable for cash collateral received.*

*f. Includes \$388 million DVA.*

**Table J2.1:***In millions of U.S. dollars*

|                                                                                                                  | Fair Value Measurements on a Recurring Basis |            |          |            |
|------------------------------------------------------------------------------------------------------------------|----------------------------------------------|------------|----------|------------|
|                                                                                                                  | June 30, 2024                                |            |          |            |
|                                                                                                                  | Level 1                                      | Level 2    | Level 3  | Total      |
| <b>Assets:</b>                                                                                                   |                                              |            |          |            |
| Investments—Trading                                                                                              |                                              |            |          |            |
| Government and agency obligations                                                                                | \$ 12,940                                    | \$ 19,413  | \$ —     | \$ 32,353  |
| Time deposits                                                                                                    | 3,517                                        | 42,474     | —        | 45,991     |
| ABS                                                                                                              | —                                            | 1,880      | —        | 1,880      |
| Other fund investments <sup>a</sup>                                                                              | —                                            | —          | —        | 2,155      |
| Equity securities                                                                                                | 349                                          | —          | —        | 349        |
| Total Investments—Trading                                                                                        | \$ 16,806                                    | \$ 63,767  | \$ —     | \$ 82,728  |
| Securities purchased under resale agreements                                                                     | \$ 20                                        | \$ 59      | \$ —     | \$ 79      |
| Derivative assets                                                                                                |                                              |            |          |            |
| Currency swaps <sup>b</sup>                                                                                      | \$ —                                         | \$ 3,935   | \$ 122   | \$ 4,057   |
| Interest rate swaps                                                                                              | —                                            | 7,836      | 141      | 7,977      |
| Other <sup>c</sup>                                                                                               | 1                                            | —          | —        | 1          |
|                                                                                                                  | \$ 1                                         | \$ 11,771  | \$ 263   | \$ 12,035  |
| Less:                                                                                                            |                                              |            |          |            |
| Amounts subject to legally enforceable master netting agreements <sup>d</sup>                                    |                                              |            |          | 11,558     |
| Cash collateral received                                                                                         |                                              |            |          | 21         |
| Derivative assets, net                                                                                           |                                              |            |          | \$ 456     |
| Miscellaneous assets                                                                                             | \$ —                                         | \$ 88      | \$ —     | \$ 88      |
| <b>Liabilities:</b>                                                                                              |                                              |            |          |            |
| Borrowings, at fair value                                                                                        | \$ —                                         | \$ 257,735 | \$ 4,055 | \$ 261,790 |
| Securities sold under repurchase agreements and securities lent under securities lending agreements <sup>e</sup> | \$ —                                         | \$ 256     | \$ —     | \$ 256     |
| Derivative liabilities                                                                                           |                                              |            |          |            |
| Currency swaps <sup>b</sup>                                                                                      | \$ —                                         | \$ 9,816   | \$ 91    | \$ 9,907   |
| Interest rate swaps                                                                                              | —                                            | 24,556     | 203      | 24,759     |
| Other <sup>c</sup>                                                                                               | —                                            | —          | —        | —          |
|                                                                                                                  | \$ —                                         | \$ 34,372  | \$ 294   | \$ 34,666  |
| Less:                                                                                                            |                                              |            |          |            |
| Amounts subject to legally enforceable master netting agreements <sup>f</sup>                                    |                                              |            |          | 11,938     |
| Derivative liabilities, net                                                                                      |                                              |            |          | \$ 22,728  |
| Accounts payable and miscellaneous liabilities                                                                   | \$ —                                         | \$ 2       | \$ —     | \$ 2       |

a. Investments at NAV related to PEBP holdings, not included in the fair value hierarchy.

b. Includes forward contracts.

c. Includes swaptions, options, and futures contracts.

d. Includes \$29 million CVA.

e. Excludes payable for cash collateral received.

f. Includes \$409 million DVA.

IBRD's Level 3 borrowings primarily relate to structured bonds. The fair value of these bonds is estimated using discounted cash flow valuation models that incorporate model parameters, observable market inputs, and unobservable inputs. The significant unobservable inputs used in the fair value measurement of structured bonds and swaps are correlations and long-dated market interest rate volatilities. Generally, the movements in correlations are considered to be independent of the movements in long-dated interest rate volatilities.

Correlation is the statistical measurement of the relationship between two variables. For contracts where the holder benefits from the convergence of the underlying index prices (e.g., market interest rates and foreign exchange rates), an increase in correlation would generally result in an increase in the fair value of the instrument. The magnitude and direction of the fair value adjustment would depend on whether the holder is short or long the option.

Interest rate volatility is the extent to which the level of interest rates changes over time. For purchased options, an increase in volatility will generally result in an increase in the fair value. In general, the volatility used to price the option depends on the maturity of the underlying instrument and the option strike price. During the nine months ended March 31, 2025, and the fiscal year ended June 30, 2024, the interest rate volatilities for certain currencies were extrapolated for certain tenors and, thus, are considered an unobservable input.

IBRD entered into transactions which have an embedded option associated with an equity index. Valuation inputs of such transactions include, among other valuation inputs, volatilities of the equity indices, that are the extent to which the level of equity index changes over time. These index volatility levels are consistent with the respective index construction methodologies and historical movements. Similar to the impact of the volatility of the other asset classes described above, an increase in the equity index volatility will result in an increase in the value of the purchase option and vice versa.

In certain instances, particularly for instruments with coupon or repayment terms linked to catastrophic events, management relies on instrument valuations supplied by external pricing vendors.

The following table provides a summary of the valuation technique applied in determining fair values of these Level 3 instruments and quantitative information regarding the significant unobservable inputs used. Level 3 instruments represent 2% of IBRD's borrowings.

**Table J3: Level 3 Borrowings and derivatives valuation technique and quantitative information regarding the significant unobservable inputs:**

*In millions of U.S. dollars*

| <i>Portfolio</i>                            | <i>Fair Value as of<br/>March 31, 2025</i> | <i>Fair Value as<br/>of June 30,<br/>2024</i> | <i>Valuation<br/>Technique</i> | <i>Unobservable<br/>input</i> | <i>Range (average),<br/>March 31, 2025</i> | <i>Range (average),<br/>June 30, 2024</i> |
|---------------------------------------------|--------------------------------------------|-----------------------------------------------|--------------------------------|-------------------------------|--------------------------------------------|-------------------------------------------|
| Borrowings                                  | \$ 4,549                                   | \$ 4,055                                      | Discounted<br>Cash Flow        | Correlations                  | -15% to 83% (7%)                           | -11% to 84% (7%)                          |
|                                             |                                            |                                               |                                | Interest rate<br>volatilities | 64% to 75% (71%)                           | 65% to 77% (73%)                          |
|                                             |                                            |                                               |                                | Equity index<br>volatilities  | 5% to 15% (10%)                            | 5% to 15% (9%)                            |
| Derivative<br>assets/<br>(liabilities), net | \$ (28)                                    | \$ (31)                                       | Discounted<br>Cash Flow        | Correlations                  | -15% to 83% (7%)                           | -11% to 84% (7%)                          |
|                                             |                                            |                                               |                                | Interest rate<br>volatilities | 64% to 75% (71%)                           | 65% to 77% (73%)                          |
|                                             |                                            |                                               |                                | Equity index<br>volatilities  | 5% to 15% (10%)                            | 5% to 15% (9%)                            |

The tables below provide the details of transfers between Level 2 and Level 3 that are due to changes in observable inputs.

**Table J4: Borrowings and derivatives inter level transfers**

*In millions of U.S. dollars*

|                                        | <i>Three Months Ended March 31, 2025</i> |                      | <i>Nine Months Ended March 31, 2025</i> |                       |
|----------------------------------------|------------------------------------------|----------------------|-----------------------------------------|-----------------------|
|                                        | <i>Level 2</i>                           | <i>Level 3</i>       | <i>Level 2</i>                          | <i>Level 3</i>        |
| Borrowings                             |                                          |                      |                                         |                       |
| Transfer into (out of)                 | \$ 66                                    | \$ (66)              | \$ 92                                   | \$ (92)               |
| Transfer (out of) into                 | —                                        | —                    | \$ (75)                                 | \$ 75                 |
|                                        | <u>\$ 66</u>                             | <u>\$ (66)</u>       | <u>\$ 17</u>                            | <u>\$ (17)</u>        |
| Derivative assets, net                 |                                          |                      |                                         |                       |
| Transfer into (out of)                 | \$ 8                                     | \$ (8)               | \$ 10                                   | \$ (10)               |
| Transfer (out of) into                 | —                                        | —                    | —                                       | —                     |
|                                        | <u>8</u>                                 | <u>(8)</u>           | <u>10</u>                               | <u>(10)</u>           |
| Derivative liabilities, net            |                                          |                      |                                         |                       |
| Transfer (into) out of                 | \$ —                                     | \$ —                 | \$ —                                    | \$ —                  |
| Transfer out of (into)                 | —                                        | —                    | 21                                      | (21)                  |
|                                        | <u>—</u>                                 | <u>—</u>             | <u>21</u>                               | <u>(21)</u>           |
| <b>Total Derivative Transfers, net</b> | <u><b>\$ 8</b></u>                       | <u><b>\$ (8)</b></u> | <u><b>\$ 31</b></u>                     | <u><b>\$ (31)</b></u> |

**Table J4.1:**

*In millions of U.S. dollars*

|                                        | <i>Three Months Ended March 31, 2024</i> |                     | <i>Nine Months Ended March 31, 2024</i> |                       |
|----------------------------------------|------------------------------------------|---------------------|-----------------------------------------|-----------------------|
|                                        | <i>Level 2</i>                           | <i>Level 3</i>      | <i>Level 2</i>                          | <i>Level 3</i>        |
| Borrowings                             |                                          |                     |                                         |                       |
| Transfer into (out of)                 | \$ 65                                    | \$ (65)             | \$ 90                                   | \$ (90)               |
| Transfer (out of) into                 | —                                        | —                   | (21)                                    | 21                    |
|                                        | <u>\$ 65</u>                             | <u>\$ (65)</u>      | <u>\$ 69</u>                            | <u>\$ (69)</u>        |
| Derivative assets, net                 |                                          |                     |                                         |                       |
| Transfer into (out of)                 | \$ —                                     | \$ —                | \$ 96                                   | \$ (96)               |
| Transfer (out of) into                 | —                                        | —                   | —                                       | —                     |
|                                        | <u>—</u>                                 | <u>—</u>            | <u>96</u>                               | <u>(96)</u>           |
| Derivative liabilities, net            |                                          |                     |                                         |                       |
| Transfer (into) out of                 | \$ (61)                                  | \$ 61               | \$ (63)                                 | \$ 63                 |
| Transfer out of (into)                 | —                                        | —                   | 6                                       | (6)                   |
|                                        | <u>(61)</u>                              | <u>61</u>           | <u>(57)</u>                             | <u>57</u>             |
| <b>Total Derivative Transfers, net</b> | <u><b>\$ (61)</b></u>                    | <u><b>\$ 61</b></u> | <u><b>\$ 39</b></u>                     | <u><b>\$ (39)</b></u> |

The following tables provide a summary of changes in the fair value of IBRD's Level 3 borrowings and derivatives:

**Table J5: Borrowings Level 3 changes**

*In millions of U.S. dollars*

|                                                             | Three Months Ended March 31, |                 | Nine Months Ended March 31, |                 |
|-------------------------------------------------------------|------------------------------|-----------------|-----------------------------|-----------------|
|                                                             | 2025                         | 2024            | 2025                        | 2024            |
| Beginning of the period/fiscal year                         | \$ 4,425                     | \$ 3,395        | \$ 4,055                    | \$ 3,607        |
| Issuances                                                   | 125                          | 110             | 702                         | 137             |
| Settlements                                                 | (79)                         | (387)           | (306)                       | (799)           |
| Total realized/unrealized mark-to-market losses (gains) in: |                              |                 |                             |                 |
| Net (loss) income                                           | 39                           | 166             | 199                         | 350             |
| Other comprehensive (loss) income                           | 105                          | 11              | (84)                        | 4               |
| Transfers to (from) Level 3, net                            | (66)                         | (65)            | (17)                        | (69)            |
| End of the period                                           | <u>\$ 4,549</u>              | <u>\$ 3,230</u> | <u>\$ 4,549</u>             | <u>\$ 3,230</u> |

**Table J6: Derivatives Level 3 changes**

*In millions of U.S. dollars*

|                                                             | Three Months Ended March 31, 2025 |                     |                | Nine Months Ended March 31, 2025  |                     |                |
|-------------------------------------------------------------|-----------------------------------|---------------------|----------------|-----------------------------------|---------------------|----------------|
|                                                             | Derivatives, Assets/(Liabilities) |                     |                | Derivatives, Assets/(Liabilities) |                     |                |
|                                                             | Currency Swaps                    | Interest Rate Swaps | Total          | Currency Swaps                    | Interest Rate Swaps | Total          |
| Beginning of the period/fiscal year                         | \$ (97)                           | \$ 1                | \$ (96)        | \$ 31                             | \$ (62)             | \$ (31)        |
| Issuances                                                   | 2                                 | —                   | 2              | (2)                               | —                   | (2)            |
| Settlements                                                 | 2                                 | (22)                | (20)           | 37                                | 16                  | 53             |
| Total realized/unrealized mark-to-market (losses) gains in: |                                   |                     |                |                                   |                     |                |
| Net (loss) income                                           | (3)                               | 34                  | 31             | (19)                              | 59                  | 40             |
| Other comprehensive (loss) income                           | 64                                | (1)                 | 63             | (56)                              | (1)                 | (57)           |
| Transfers (from) to Level 3, net                            | (8)                               | —                   | (8)            | (31)                              | —                   | (31)           |
| End of the period                                           | <u>\$ (40)</u>                    | <u>\$ 12</u>        | <u>\$ (28)</u> | <u>\$ (40)</u>                    | <u>\$ 12</u>        | <u>\$ (28)</u> |

**Table J6.1:**

*In millions of U.S. dollars*

|                                                             | Three Months Ended March 31, 2024 |                     |               | Nine Months ended March 31, 2024  |                     |               |
|-------------------------------------------------------------|-----------------------------------|---------------------|---------------|-----------------------------------|---------------------|---------------|
|                                                             | Derivatives, Assets/(Liabilities) |                     |               | Derivatives, Assets/(Liabilities) |                     |               |
|                                                             | Currency Swaps                    | Interest Rate Swaps | Total         | Currency Swaps                    | Interest Rate Swaps | Total         |
| Beginning of the period/fiscal year                         | \$ 13                             | \$ (65)             | \$ (52)       | \$ 13                             | \$ (134)            | \$ (121)      |
| Issuances                                                   | —                                 | 7                   | 7             | 1                                 | 7                   | 8             |
| Settlements                                                 | 11                                | 8                   | 19            | 49                                | 30                  | 79            |
| Total realized/unrealized mark-to-market gains (losses) in: |                                   |                     |               |                                   |                     |               |
| Net income                                                  | 108                               | 5                   | 113           | 192                               | 54                  | 246           |
| Other comprehensive income (loss)                           | 6                                 | 2                   | 8             | (17)                              | —                   | (17)          |
| Transfers (from) to Level 3, net                            | —                                 | 61                  | 61            | (100)                             | 61                  | (39)          |
| End of the period                                           | <u>\$ 138</u>                     | <u>\$ 18</u>        | <u>\$ 156</u> | <u>\$ 138</u>                     | <u>\$ 18</u>        | <u>\$ 156</u> |

Information on the unrealized gains or losses included in the Condensed Statements of Income and Condensed Statements of Comprehensive Income relating to IBRD's Level 3 borrowings and derivatives that are still held at the reporting dates, is presented in the following table:

**Table J7: Unrealized gains or losses relating to IBRD's Level 3 borrowings and derivatives**

*In millions of U.S. dollars*

|                                                | Three Months Ended<br>March 31, |          | Nine Months Ended<br>March 31, |          |
|------------------------------------------------|---------------------------------|----------|--------------------------------|----------|
|                                                | 2025                            | 2024     | 2025                           | 2024     |
| Reported as:                                   |                                 |          |                                |          |
| Borrowings                                     |                                 |          |                                |          |
| Net (loss) income <sup>a</sup>                 | \$ (30)                         | \$ 144   | \$ (129)                       | \$ 171   |
| Other Comprehensive income (loss) <sup>b</sup> | (104)                           | (11)     | 83                             | (3)      |
| Derivatives                                    |                                 |          |                                |          |
| Net income (loss) <sup>a</sup>                 | \$ 36                           | \$ (110) | \$ 168                         | \$ (114) |
| Other Comprehensive (loss) income <sup>c</sup> | 61                              | 8        | (58)                           | (12)     |

a. Amounts are included in Unrealized mark-to-market gains (losses) on non-trading portfolios, net on the Condensed Statements of Income.

b. Amounts are included in Currency translation adjustment on functional currency and Net Change in DVA on fair value option elected liabilities, in the Condensed Statements of Comprehensive Income.

c. Amounts are included in Currency translation adjustment on functional currency, in the Condensed Statements of Comprehensive Income.

**Table J8: Borrowings fair value and contractual principal balance**

*In millions of U.S. dollars*

|                | Fair Value | Principal Amount Due<br>Upon Maturity | Difference  |
|----------------|------------|---------------------------------------|-------------|
| March 31, 2025 | \$ 295,851 | \$ 317,004                            | \$ (21,153) |
| June 30, 2024  | \$ 261,790 | \$ 285,322                            | \$ (23,532) |

The following tables provide information on the changes in fair value due to the change in IBRD's own credit risk for financial liabilities measured under the fair value option, included in the Condensed Statements of Other Comprehensive Income:

**Table J9: Changes in fair value due to IBRD's own credit risk**

*In millions of U.S. dollars*

| Unrealized mark-to-market gains (losses) due to DVA on fair value option<br>elected liabilities | Three Months Ended<br>March 31, 2025 | Nine Months Ended<br>March 31, 2025 |
|-------------------------------------------------------------------------------------------------|--------------------------------------|-------------------------------------|
| DVA on Fair Value Option Elected Liabilities                                                    | \$ (114)                             | \$ 1,306                            |
| Amounts reclassified to net income upon derecognition of a liability                            | 1                                    | (12)                                |
| Net change in DVA on Fair Value Option Elected Liabilities                                      | <u>\$ (113)</u>                      | <u>\$ 1,294</u>                     |

**Table J9.1:**

*In millions of U.S. dollars*

| Unrealized mark-to-market gains (losses) due to DVA on fair value option<br>elected liabilities | Three Months Ended<br>March 31, 2024 | Nine Months Ended<br>March 31, 2024 |
|-------------------------------------------------------------------------------------------------|--------------------------------------|-------------------------------------|
| DVA on Fair Value Option Elected Liabilities                                                    | \$ (537)                             | \$ 288                              |
| Amounts reclassified to net income upon derecognition of a liability                            | (1)                                  | 2                                   |
| Net change in DVA on Fair Value Option Elected Liabilities                                      | <u>\$ (538)</u>                      | <u>\$ 290</u>                       |

As of March 31, 2025, IBRD's Condensed Balance Sheets included a DVA of \$1,967 million cumulative gain (\$673 million cumulative gain—June 30, 2024) in Accumulated other comprehensive income, associated with the changes in IBRD's own credit for financial liabilities measured under the fair value option.

**Table J10: Unrealized mark-to-market gains or losses on investments-trading, and non-trading portfolios, net**

*In millions of U.S. dollars*

|                                                         | Three Months Ended<br>March 31, 2025 |                                                                               |                                 | Nine Months Ended<br>March 31, 2025 |                                                                               |                                 |
|---------------------------------------------------------|--------------------------------------|-------------------------------------------------------------------------------|---------------------------------|-------------------------------------|-------------------------------------------------------------------------------|---------------------------------|
|                                                         | Realized<br>gains<br>(losses)        | Unrealized<br>gains (losses)<br>excluding<br>realized<br>amounts <sup>a</sup> |                                 | Realized<br>gains<br>(losses)       | Unrealized<br>gains (losses)<br>excluding<br>realized<br>amounts <sup>a</sup> |                                 |
|                                                         |                                      |                                                                               | Unrealized<br>gains<br>(losses) |                                     |                                                                               | Unrealized<br>gains<br>(losses) |
| <b>Investments-Trading, net</b>                         | \$ 496                               | \$ (520)                                                                      | \$ (24)                         | \$ 345                              | \$ (412)                                                                      | \$ (67)                         |
| <b>Non trading portfolios, net</b>                      |                                      |                                                                               |                                 |                                     |                                                                               |                                 |
| Loan-related derivatives—Note F                         | 2                                    | (465)                                                                         | (463)                           | 2                                   | (929)                                                                         | (927)                           |
| Other assets/liabilities management<br>derivatives, net | —                                    | 726                                                                           | 726                             | —                                   | 1,280                                                                         | 1,280                           |
| Borrowings, including derivatives<br>—Notes E and F     | —                                    | 118                                                                           | 118 <sup>b</sup>                | —                                   | (119)                                                                         | (119) <sup>b</sup>              |
| Client operations and other<br>derivatives, net         | —                                    | 17                                                                            | 17                              | —                                   | 31                                                                            | 31                              |
| <b>Total</b>                                            | <u>\$ 2</u>                          | <u>\$ 396</u>                                                                 | <u>\$ 398</u>                   | <u>\$ 2</u>                         | <u>\$ 263</u>                                                                 | <u>\$ 265</u>                   |

**Table J10.1:**

*In millions of U.S. dollars*

|                                                         | Three Months Ended<br>March 31, 2024 |                                                                               |                                 | Nine Months Ended<br>March 31, 2024 |                                                                               |                                 |
|---------------------------------------------------------|--------------------------------------|-------------------------------------------------------------------------------|---------------------------------|-------------------------------------|-------------------------------------------------------------------------------|---------------------------------|
|                                                         | Realized<br>gains<br>(losses)        | Unrealized<br>gains (losses)<br>excluding<br>realized<br>amounts <sup>a</sup> |                                 | Realized<br>gains<br>(losses)       | Unrealized<br>gains (losses)<br>excluding<br>realized<br>amounts <sup>a</sup> |                                 |
|                                                         |                                      |                                                                               | Unrealized<br>gains<br>(losses) |                                     |                                                                               | Unrealized<br>gains<br>(losses) |
| <b>Investments-Trading, net</b>                         | \$ (172)                             | \$ 228                                                                        | \$ 56                           | \$ (95)                             | \$ 177                                                                        | \$ 82                           |
| <b>Non trading portfolios, net</b>                      |                                      |                                                                               |                                 |                                     |                                                                               |                                 |
| Loan-related derivatives—Note F                         | —                                    | 852                                                                           | 852                             | —                                   | (715)                                                                         | (715)                           |
| Other assets/liabilities management<br>derivatives, net | —                                    | (568)                                                                         | (568)                           | —                                   | 719                                                                           | 719                             |
| Borrowings, including derivatives<br>—Notes E and F     | 1                                    | (11)                                                                          | (10) <sup>b</sup>               | 2                                   | (148)                                                                         | (146) <sup>b</sup>              |
| Client operations and other<br>derivatives, net         | —                                    | (32)                                                                          | (32)                            | —                                   | 31                                                                            | 31                              |
| <b>Total</b>                                            | <u>\$ 1</u>                          | <u>\$ 241</u>                                                                 | <u>\$ 242</u>                   | <u>\$ 2</u>                         | <u>\$ (113)</u>                                                               | <u>\$ (111)</u>                 |

*a. Adjusted to exclude amounts reclassified to realized gains (losses).*

*b. Includes \$1,526 million of unrealized mark-to-market gains and \$5,430 million of unrealized mark-to-market gains related to derivatives associated with borrowings for three and nine months ended March 31, 2025, respectively (unrealized mark-to-market losses of \$1,946 million and unrealized mark-to-market gains of \$4,644 million—three and nine months ended March 31, 2024).*

## NOTE K—PENSION AND OTHER POSTRETIREMENT BENEFITS

IBRD, IFC and MIGA participate in the defined benefit Staff Retirement Plan (SRP), a Retired Staff Benefits Plan (RSBP) and the PEBP (collectively “the Pension Plans”) that cover substantially all of their staff members.

All costs, assets and liabilities associated with the Pension Plans are allocated between IBRD, IFC and MIGA based upon their employees' respective participation in the Pension Plans. Costs allocated to IBRD are then shared between IBRD and IDA based on an agreed cost-sharing methodology.

The following tables summarize the benefit costs associated with the Pension Plans for IBRD and IDA:

**Table K1: Pension Plans benefit costs**

*In millions of U.S. dollars*

|                                                                        | Three Months Ended<br>March 31, 2025 |                |              |              | Nine Months Ended<br>March 31, 2025 |                |               |               |
|------------------------------------------------------------------------|--------------------------------------|----------------|--------------|--------------|-------------------------------------|----------------|---------------|---------------|
|                                                                        | SRP                                  | RSBP           | PEBP         | Total        | SRP                                 | RSBP           | PEBP          | Total         |
| Service cost                                                           | \$ 106                               | \$ 27          | \$ 20        | \$ 153       | \$ 318                              | \$ 83          | \$ 58         | \$ 459        |
| Interest cost                                                          | 288                                  | 45             | 27           | 360          | 864                                 | 135            | 82            | 1,081         |
| Expected return on plan assets                                         | (374)                                | (66)           | —            | (440)        | (1,120)                             | (199)          | —             | (1,319)       |
| Amortization of unrecognized prior service costs <sup>a</sup>          | 2                                    | —              | —            | 2            | 3                                   | 1              | 2             | 6             |
| Amortization of unrecognized net actuarial (gains) losses <sup>a</sup> | —                                    | (16)           | —            | (16)         | —                                   | (48)           | —             | (48)          |
| Net periodic pension cost                                              | <u>\$ 22</u>                         | <u>\$ (10)</u> | <u>\$ 47</u> | <u>\$ 59</u> | <u>\$ 65</u>                        | <u>\$ (28)</u> | <u>\$ 142</u> | <u>\$ 179</u> |
| Of which:                                                              |                                      |                |              |              |                                     |                |               |               |
| IBRD's share                                                           | \$ 10                                | \$ (3)         | \$ 22        | \$ 29        | \$ 30                               | \$ (12)        | \$ 66         | \$ 84         |
| IDA's share                                                            | 12                                   | (7)            | 25           | 30           | 35                                  | (16)           | 76            | 95            |

**Table K1.1**

*In millions of U.S. dollars*

|                                                                        | Three Months Ended<br>March 31, 2024 |               |              |              | Nine Months Ended<br>March 31, 2024 |                |               |               |
|------------------------------------------------------------------------|--------------------------------------|---------------|--------------|--------------|-------------------------------------|----------------|---------------|---------------|
|                                                                        | SRP                                  | RSBP          | PEBP         | Total        | SRP                                 | RSBP           | PEBP          | Total         |
| Service cost                                                           | \$ 101                               | \$ 28         | \$ 21        | \$ 150       | \$ 301                              | \$ 84          | \$ 62         | \$ 447        |
| Interest cost                                                          | 253                                  | 40            | 25           | 318          | 759                                 | 121            | 74            | 954           |
| Expected return on plan assets                                         | (345)                                | (61)          | —            | (406)        | (1,033)                             | (182)          | —             | (1,215)       |
| Amortization of unrecognized prior service costs <sup>a</sup>          | 1                                    | 1             | —            | 2            | 2                                   | 2              | 2             | 6             |
| Amortization of unrecognized net actuarial (gains) losses <sup>a</sup> | —                                    | (17)          | —            | (17)         | —                                   | (51)           | —             | (51)          |
| Net periodic pension cost                                              | <u>\$ 10</u>                         | <u>\$ (9)</u> | <u>\$ 46</u> | <u>\$ 47</u> | <u>\$ 29</u>                        | <u>\$ (26)</u> | <u>\$ 138</u> | <u>\$ 141</u> |
| Of which:                                                              |                                      |               |              |              |                                     |                |               |               |
| IBRD's share                                                           | \$ 4                                 | \$ (4)        | \$ 21        | \$ 21        | \$ 13                               | \$ (12)        | \$ 64         | \$ 65         |
| IDA's share                                                            | 6                                    | (5)           | 25           | 26           | 16                                  | (14)           | 74            | 76            |

*a. Included in amounts reclassified into net income in Note I—Accumulated Other Comprehensive Income.*

The components of net periodic pension cost, other than the service cost, are included in the Non-interest expenses—Other, net in the Condensed Statements of Income. The service cost component is included in the Non-interest expenses—Administrative in the Condensed Statements of Income.



The following tables provide the amounts of IBRD's pension service cost:

**Table K2: Pension service cost**

*In millions of U.S. dollars*

|              | Three Months Ended<br>March 31, 2025 |       |       |        | Nine Months Ended<br>March 31, 2025 |       |       |        |
|--------------|--------------------------------------|-------|-------|--------|-------------------------------------|-------|-------|--------|
|              | SRP                                  | RSBP  | PEBP  | Total  | SRP                                 | RSBP  | PEBP  | Total  |
| Service cost | \$ 106                               | \$ 27 | \$ 20 | \$ 153 | \$ 318                              | \$ 83 | \$ 58 | \$ 459 |
| Of which:    |                                      |       |       |        |                                     |       |       |        |
| IBRD's share | \$ 49                                | \$ 14 | \$ 9  | \$ 72  | \$ 147                              | \$ 39 | \$ 27 | \$ 213 |
| IDA's share  | 57                                   | 13    | 11    | 81     | 171                                 | 44    | 31    | 246    |

**Table K2.1:**

*In millions of U.S. dollars*

|              | Three Months Ended<br>March 31, 2024 |       |       |        | Nine Months Ended<br>March 31, 2024 |       |       |        |
|--------------|--------------------------------------|-------|-------|--------|-------------------------------------|-------|-------|--------|
|              | SRP                                  | RSBP  | PEBP  | Total  | SRP                                 | RSBP  | PEBP  | Total  |
| Service cost | \$ 101                               | \$ 28 | \$ 21 | \$ 150 | \$ 301                              | \$ 84 | \$ 62 | \$ 447 |
| Of which:    |                                      |       |       |        |                                     |       |       |        |
| IBRD's share | \$ 46                                | \$ 13 | \$ 10 | \$ 69  | \$ 139                              | \$ 39 | \$ 29 | \$ 207 |
| IDA's share  | 55                                   | 15    | 11    | 81     | 162                                 | 45    | 33    | 240    |

## NOTE L—CONTINGENCIES

From time to time, IBRD may be named as a defendant or co-defendant in legal actions on different grounds in various jurisdictions. The outcome of any existing legal action, in which IBRD has been named as a defendant or co-defendant, as of and for the nine months ended March 31, 2025, is not expected to have a material adverse effect on IBRD's financial position, results of operations or cash flows.

# INDEPENDENT AUDITOR'S REVIEW REPORT



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## INDEPENDENT AUDITOR'S REVIEW REPORT

President and Board of Executive Directors  
International Bank for Reconstruction and Development:

### Results of Review of Interim Financial Information

We have reviewed the accompanying condensed balance sheet of the International Bank for Reconstruction and Development ("IBRD") as of March 31, 2025, and the related condensed statements of income, and comprehensive income for the three-month and nine-month periods ended March 31, 2025 and 2024, and the condensed statements of changes in retained earnings and cash flows for the nine-month periods ended March 31, 2025 and 2024, and the related notes (collectively referred to as the "interim financial information").

Based on our reviews, we are not aware of any material modifications that should be made to the accompanying interim financial information for it to be in accordance with accounting principles generally accepted in the United States of America.

### Basis for Review Results

We conducted our reviews in accordance with auditing standards generally accepted in the United States of America (GAAS) applicable to reviews of interim financial information. A review of interim financial information consists principally of applying analytical procedures and making inquiries of persons responsible for financial and accounting matters. A review of interim financial information is substantially less in scope than an audit conducted in accordance with GAAS, the objective of which is an expression of an opinion regarding the financial information as a whole, and accordingly, we do not express such an opinion. We are required to be independent of IBRD and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our review. We believe that the results of the review procedures provide a reasonable basis for our conclusion.

### Responsibilities of Management for the Interim Financial Information

Management is responsible for the preparation and fair presentation of the interim financial information in accordance with accounting principles generally accepted in the United States of America and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of interim financial information that is free from material misstatement, whether due to fraud or error.

## Report on Condensed Balance Sheet as of June 30, 2024

We have previously audited, in accordance with auditing standards generally accepted in the United States of America, the balance sheet as of June 30, 2024, and the related statements of income, comprehensive income, changes in retained earnings, and cash flows for the year then ended (not presented herein); and we expressed an unmodified audit opinion on those audited financial statements in our report dated August 7, 2024. In our opinion, the accompanying condensed balance sheet of IBRD as of June 30, 2024, is consistent, in all material respects, with the audited financial statements from which it has been derived.

*Deloitte + Touche LLP*

May 14, 2025